

Hotel Horizons®

Seattle, WA

Q3 2024 Edition

CBRE HOTELS RESEARCH
NOVEMBER 2024



Regional Economic Summary

“Economic activity in the Twelfth District remained stable during the September through early-October reporting period. Labor availability and employee retention improved further, and several employers resumed plans to expand employment after holding their headcounts steady over the past year. Prices were generally stable in recent weeks, while wages grew slightly. Retail sales as well as activity in manufacturing and consumer services softened. Demand for business services improved, while conditions in real estate, financial services, agriculture, and resource-related industries were largely unchanged. Demand for housing and food services remained elevated, and job seekers sought training and workforce development services to get higher-paying jobs in their communities. Looking ahead, contacts’ views on the economic outlook improved notably in recent weeks, with several citing recent reductions in interest rates and their improved sentiments about the labor market.

Demand for leisure travel and hospitality services softened, and sales at restaurants and fast-food establishments were down. Business travel slowed in recent weeks beyond seasonal factors, in part due to increased uncertainty related to the elections. Demand for medical laboratory testing remained strong, and demand for janitorial, security, and food catering services was robust, supported by more businesses expanding their mandates for workers to return to offices. Contacts in legal services reported higher demand, particularly from individuals as opposed to business.”

Federal Reserve Bank Beige Book, October 2024

Seattle, WA: Next Four Quarters

The arrows show the forecast direction of change over the next 4 quarters vs. the previous 4 quarters. Purple indicates the change will be above the long run average, tan indicates it will be the same, and orange indicates it will be below.

Occupancy

Occupancy will decrease to 72.0%, a decline over the past 4 quarters' rate of 72.1%, but above the long run average of 67.4%



Average Daily Rate

ADR growth expectations are increasing, 3.1% vs. the past 4 quarters' rate of 2.7%, and are above the long run average of 2.7%



Revenue Per Available Room

RevPAR growth projections are falling to 2.9% as compared to the past 4 quarters' rate of 6.8%, and are lower than the long run average of 5.8%



Supply (orange indicates above long-term average)

Supply growth is climbing, 2.0% vs. the past 4 quarters' rate of 0.3%, and greater than the long run average of 1.6%



Demand

Forecast demand growth is falling, 1.9% vs. the past 4 quarters' rate of 4.3%, and is below the long run average of 3.1%



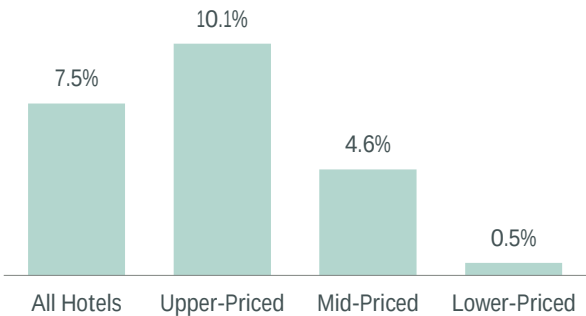
Hotel Market Summary

By year-end 2024, Seattle hotels are forecast to see a RevPAR increase of 6.3%. This is the result of an estimated increase in occupancy of 3.1% and a 3.0% gain in average daily room rates (ADR). The 6.3% boost in Seattle RevPAR is better than the national projection of a 0.5% increase. Year-end Seattle RevPAR will be 7.4% greater than the 2019 year-end RevPAR level of \$118.53.

Leading the way in 2024 RevPAR growth is the upper-priced segment of Seattle. Upper-priced properties are forecast to attain a 2.1% gain in ADR and see a 5.8% increase in occupancy, resulting in an 8.0% RevPAR increase. Lower-priced hotels are projected to experience an ADR decline of 2.2%, along with a 2.4% gain in occupancy, resulting in a 0.2% RevPAR increase.

Looking towards 2025, Seattle RevPAR is expected to grow 3.0%. This is slower than the forecasted rate of growth for 2024. Prospects for RevPAR growth in the upper-priced segment (4.0%) are better than in the middle-priced segment (1.7%). Seattle market occupancy levels are expected to range from 72.0% to 74.1% during the 5-year forecast period.

2024 Year-to-Date 3Q Change in RevPAR



Source: CBRE Hotels Research, Kalibri Labs, Q3 2024

Annual Performance - Five Year History and Forecast

Year	Occ	Δ Occ	ADR	Δ ADR	RevPAR	Δ RevPAR
2019	74.1%	-0.2%	\$159.93	-2.1%	\$118.53	-2.3%
2020	36.1%	-51.4%	\$106.97	-33.1%	\$38.57	-67.5%
2021	52.6%	45.9%	\$121.23	13.3%	\$63.79	65.4%
2022	67.8%	28.9%	\$163.69	35.0%	\$111.05	74.1%
2023	69.8%	2.9%	\$171.70	4.9%	\$119.82	7.9%
2024F	72.0%	3.1%	\$176.93	3.0%	\$127.35	6.3%
2025F	72.0%	0.0%	\$182.15	2.9%	\$131.14	3.0%
2026F	73.2%	1.6%	\$189.27	3.9%	\$138.51	5.6%
2027F	73.7%	0.7%	\$190.65	0.7%	\$140.50	1.4%
2028F	74.1%	0.6%	\$194.62	2.1%	\$144.24	2.7%

Source: CBRE Hotels Research, Kalibri Labs, Q3 2024

Long Run Averages 2000 to 2023

Occupancy: 67.4%, ADR Change: 2.7%, RevPAR Change: 5.8%

Seattle, WA Economic Summary

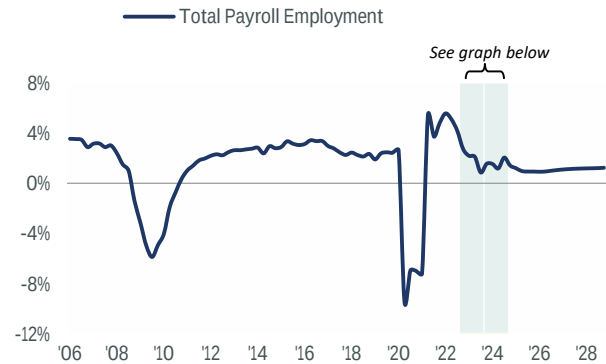
Below are a select number of variables that drive the CBRE Hotels Research econometric forecasts contained in this report. Income and employment are important barometers of economic health and are used in every *Hotel Horizons*® forecast model. The lodging market is part of the larger economy, and the forces that affect us nationally also affect lodging, but in different magnitudes and time periods (see Exhibits 3 and 4 below). Exhibits 1 - 5 provide an overview of current economic history and forecasts, and provide explanations of what to expect in the future, and how that affects the lodging industry.

Exhibit 1*: Income Change



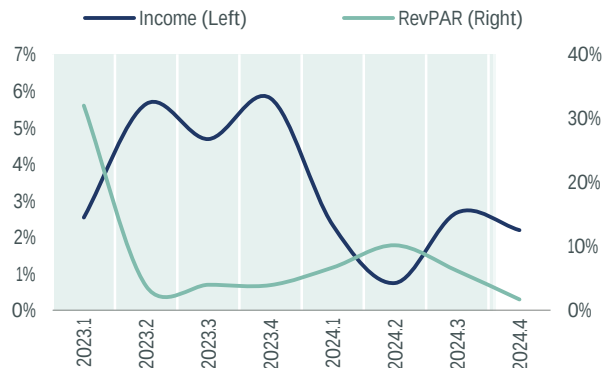
Source: CBRE EA, Q3 2024

Exhibit 2*: Employment Change



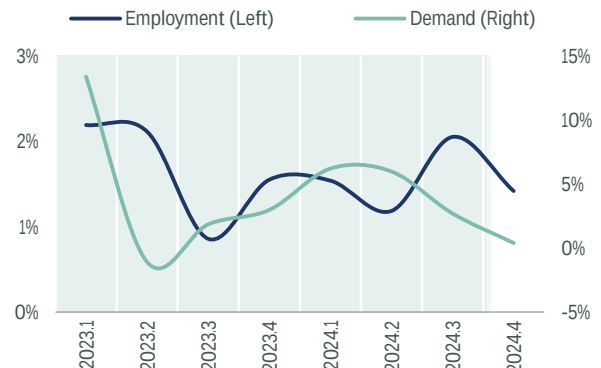
Source: CBRE EA, Q3 2024

Exhibit 3*: Quarterly Real Personal Income vs. RevPAR Change



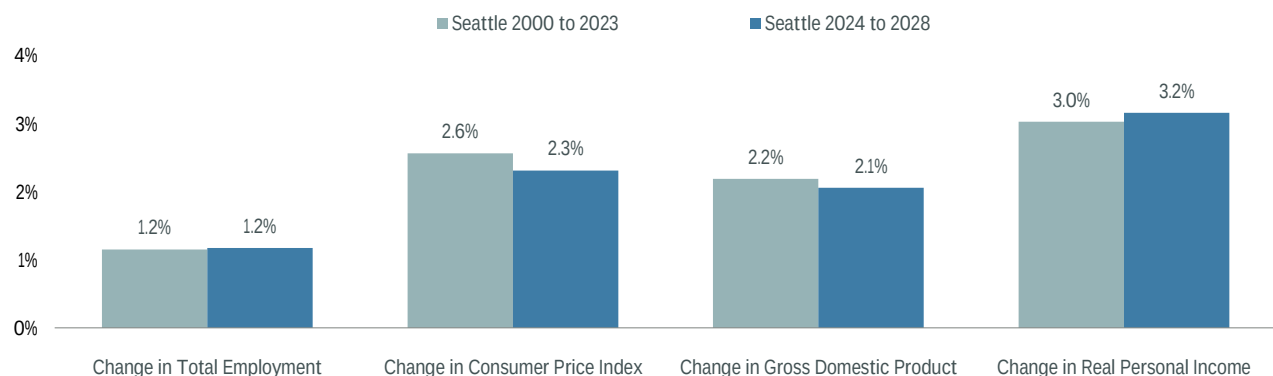
Source: CBRE EA, CBRE Hotels, Kalibri Labs, Q3 2024

Exhibit 4*: Quarterly Employment vs. Demand Change



Source: CBRE EA, CBRE Hotels, Kalibri Labs, Q3 2024

Exhibit 5*: Average Annual Growth Rates



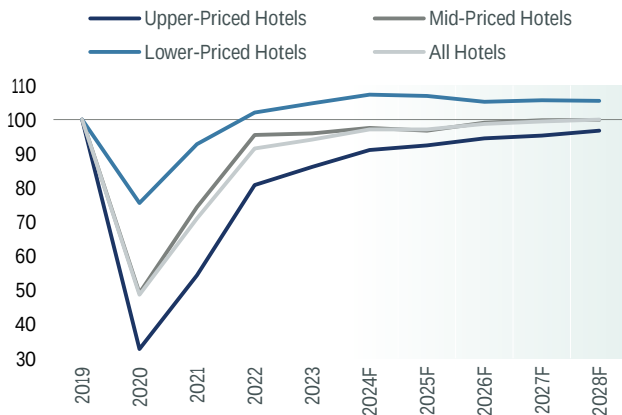
Source: CBRE EA, Oxford Economics, Q3 2024

*See Appendix for exhibit descriptions

Seattle, WA Hotel Summary

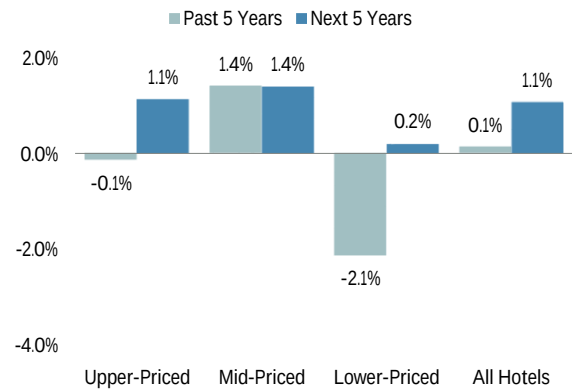
The graphs on the left illustrate the magnitude of change in performance during the historical and forecasted period 2019 to 2028. Used as a relative benchmark, each market segment is plotted against a common index value of 2019 = 100. This method provides clear insight of how each market segment performed and is expected to perform in relation to others in the specified period. The charts on the right compare near-term historical compound annual growth rates (CAGR) to the CAGRs for the forecast period.

Exhibit 6*: Occupancy Levels Relative to 2019



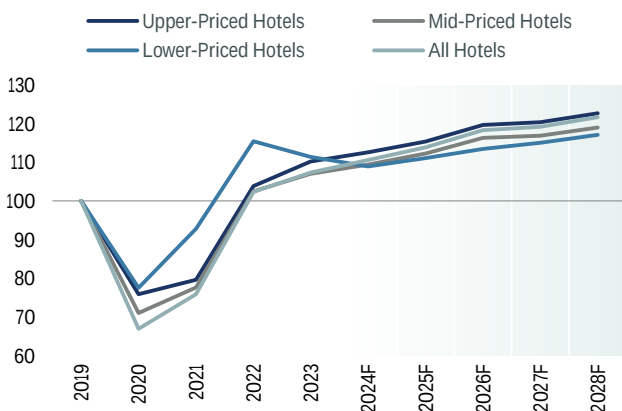
Source: CBRE Hotels Research, Kalibri Labs, Q3 2024

Exhibit 9*: Compound Average Annual Supply Change



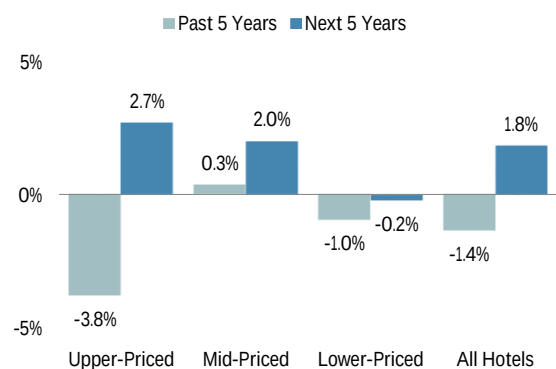
Source: CBRE Hotels Research, Kalibri Labs, Q3 2024

Exhibit 7*: ADR Levels Relative to 2019



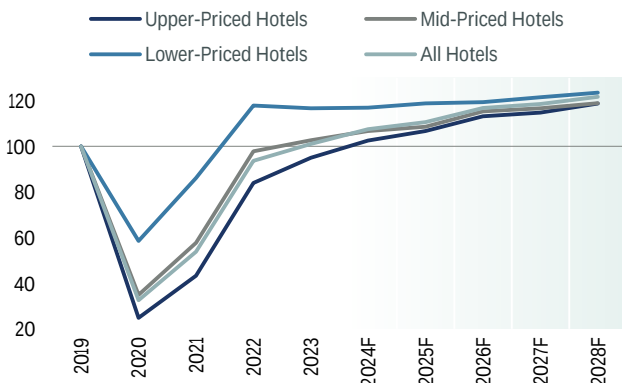
Source: CBRE Hotels Research, Kalibri Labs, Q3 2024

Exhibit 10*: Compound Average Annual Demand Change



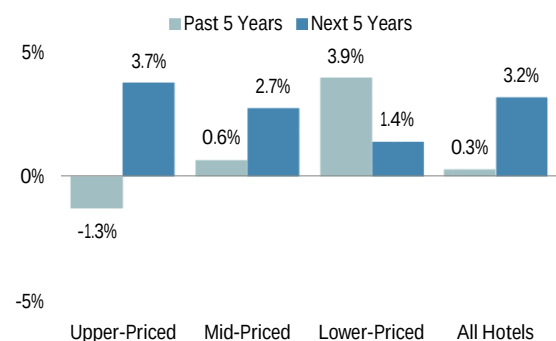
Source: CBRE Hotels Research, Kalibri Labs, Q3 2024

Exhibit 8*: RevPAR Levels Relative to 2019



Source: CBRE Hotels Research, Kalibri Labs, Q3 2024

Exhibit 11*: Compound Average Annual RevPAR Change



Source: CBRE Hotels Research, Kalibri Labs, Q3 2024

Seattle, WA Forecast - All Hotels

Year	Period	Occ	Δ Occ	ADR	Δ ADR	RevPAR	Δ RevPAR	Δ Supply	Δ Demand
2019	Annual	74.1%	-0.2%	\$159.93	-2.1%	\$118.53	-2.3%	5.1%	4.9%
2020	Annual	36.1%	-51.4%	\$106.97	-33.1%	\$38.57	-67.5%	0.0%	-51.3%
2021	1	37.3%	-31.4%	\$87.63	-33.6%	\$32.70	-54.5%	-0.7%	-31.9%
2021	2	53.3%	139.5%	\$109.96	22.3%	\$58.64	192.9%	1.2%	142.4%
2021	3	65.2%	88.5%	\$144.87	50.1%	\$94.49	182.9%	0.3%	89.0%
2021	4	54.3%	65.7%	\$126.46	43.7%	\$68.66	138.1%	-0.8%	64.4%
2021	Annual	52.6%	45.9%	\$121.23	13.3%	\$63.79	65.4%	0.0%	45.9%
2022	1	53.9%	44.5%	\$122.02	39.3%	\$65.81	101.3%	-0.8%	43.3%
2022	2	75.1%	40.8%	\$165.88	50.9%	\$124.52	112.3%	-1.1%	39.2%
2022	3	79.6%	22.0%	\$196.76	35.8%	\$156.57	65.7%	0.4%	22.5%
2022	4	62.5%	15.1%	\$153.80	21.6%	\$96.11	40.0%	0.9%	16.1%
2022	Annual	67.8%	28.9%	\$163.69	35.0%	\$111.05	74.1%	-0.1%	28.8%
2023	1	60.3%	11.8%	\$144.03	18.0%	\$86.85	32.0%	1.4%	13.3%
2023	2	73.4%	-2.3%	\$176.16	6.2%	\$129.21	3.8%	1.2%	-1.1%
2023	3	81.0%	1.8%	\$200.95	2.1%	\$162.78	4.0%	0.0%	1.8%
2023	4	64.3%	3.0%	\$155.24	0.9%	\$99.88	3.9%	0.0%	3.0%
2023	Annual	69.8%	2.9%	\$171.70	4.9%	\$119.82	7.9%	0.6%	3.5%
2024	1	63.8%	5.8%	\$145.24	0.8%	\$92.64	6.7%	0.4%	6.2%
2024	2	77.5%	5.6%	\$183.75	4.3%	\$142.32	10.1%	0.3%	6.0%
2024	3	82.7%	2.1%	\$208.89	4.0%	\$172.79	6.1%	0.6%	2.7%
2024F	4	64.0%	-0.6%	\$158.79	2.3%	\$101.55	1.7%	1.0%	0.4%
2024F	Annual	72.0%	3.1%	\$176.93	3.0%	\$127.35	6.3%	0.6%	3.7%
2025F	Annual	72.0%	0.0%	\$182.15	2.9%	\$131.14	3.0%	2.3%	2.3%
2026F	Annual	73.2%	1.6%	\$189.27	3.9%	\$138.51	5.6%	0.6%	2.2%
2027F	Annual	73.7%	0.7%	\$190.65	0.7%	\$140.50	1.4%	0.7%	1.4%
2028F	Annual	74.1%	0.6%	\$194.62	2.1%	\$144.24	2.7%	0.7%	1.3%
2023 3Q	Year to Date	71.6%	2.8%	\$176.68	6.0%	\$126.54	9.0%	0.9%	3.7%
2024 3Q	Year to Date	74.7%	4.3%	\$182.18	3.1%	\$136.05	7.5%	0.4%	4.7%
2024 3Q	Trailing 4 Qtrs	72.1%	4.0%	\$176.16	2.7%	\$126.99	6.8%	0.3%	4.3%

Source: CBRE Hotels Research, Kalibri Labs, Q3 2024

Guest-Paid ADR*		All Hotels		Upper-Price		Mid-Price		Lower-Price	
Year	Period	Value	Change	Value	Change	Value	Change	Value	Change
2019	Annual	\$164.27		\$216.28		\$155.92		\$88.07	
2020	Annual	\$109.72	-33.2%	\$164.09	-24.1%	\$110.38	-29.2%	\$67.50	-23.4%
2021	Annual	\$125.10	14.0%	\$173.63	5.8%	\$121.60	10.2%	\$80.67	19.5%
2022	Annual	\$168.27	34.5%	\$224.63	29.4%	\$160.03	31.6%	\$101.15	25.4%
2023	Annual	\$176.60	4.9%	\$238.28	6.1%	\$167.53	4.7%	\$97.75	-3.4%
2023 3Q	Year to Date	\$181.73	6.0%	\$243.51	7.0%	\$173.04	5.7%	\$101.89	-2.1%
2024 3Q	Year to Date	\$187.13	3.0%	\$249.11	2.3%	\$176.44	2.0%	\$98.97	-2.9%
2024 3Q	Trailing 4 Qtrs	\$180.99	2.6%	\$243.19	2.6%	\$170.19	1.7%	\$95.55	-3.9%

*Based on the total room revenue paid by guests, inclusive of all transaction-specific direct reservation costs.

Source: Kalibri Labs, Q3 2024

Length of Stay In Nights

Year	Period	All Hotels	Upper	Mid	Lower
2022	Annual	2.21	1.84	2.24	3.10
2023	Annual	2.08	1.78	2.03	3.17
2023 Q3	Year to Date	2.08	1.78	2.02	3.11
2024 Q3	Year to Date	2.03	1.80	1.96	2.96

For a glossary of Kalibri Labs terminology, please see page 23, or visit <https://pip.cbrehotels.com/about-us/kalibri-faqs>

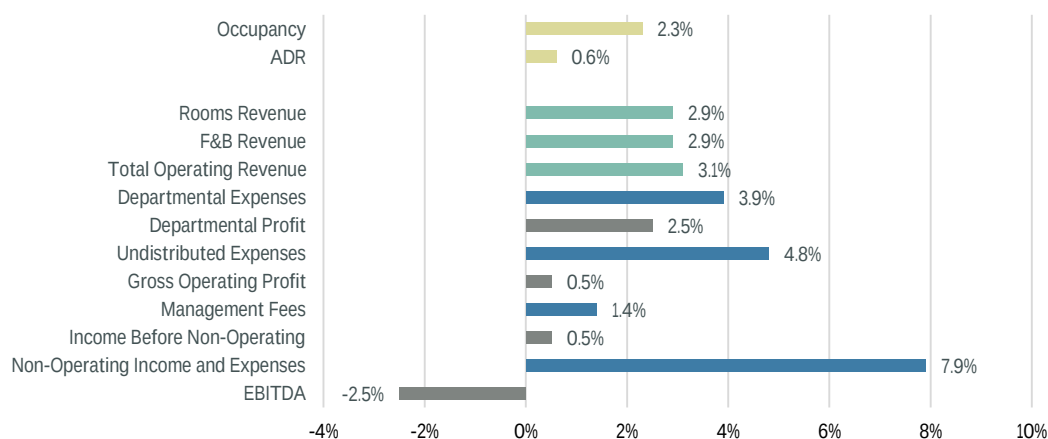
Seattle, WA Forecast - Upper-Priced Hotels

Year	Period	Occ	Δ Occ	ADR	Δ ADR	RevPAR	Δ RevPAR	Δ Supply	Δ Demand
2019	Annual	77.3%	0.4%	\$210.92	-6.1%	\$163.11	-5.7%	16.6%	17.1%
2020	Annual	25.3%	-67.3%	\$159.98	-24.2%	\$40.48	-75.2%	-3.3%	-68.4%
2021	1	21.7%	-59.4%	\$123.72	-31.6%	\$26.91	-72.2%	-2.3%	-60.3%
2021	2	39.9%	297.7%	\$150.48	11.1%	\$59.97	342.0%	-1.4%	292.2%
2021	3	58.0%	204.3%	\$193.98	32.0%	\$112.44	301.6%	-3.0%	195.2%
2021	4	48.3%	159.8%	\$170.62	34.9%	\$82.46	250.4%	-4.0%	149.3%
2021	Annual	42.0%	66.0%	\$167.85	4.9%	\$70.50	74.2%	-2.7%	61.6%
2022	1	42.6%	96.0%	\$165.70	33.9%	\$70.63	162.5%	4.1%	104.0%
2022	2	71.3%	78.9%	\$217.96	44.8%	\$155.40	159.2%	3.8%	85.8%
2022	3	77.2%	33.2%	\$254.88	31.4%	\$196.77	75.0%	7.2%	42.7%
2022	4	58.3%	20.7%	\$210.10	23.1%	\$122.58	48.7%	7.1%	29.3%
2022	Annual	62.5%	48.8%	\$218.95	30.4%	\$136.80	94.0%	5.6%	57.0%
2023	1	54.5%	27.8%	\$198.41	19.7%	\$108.06	53.0%	0.5%	28.4%
2023	2	70.3%	-1.5%	\$237.02	8.7%	\$166.53	7.2%	0.7%	-0.7%
2023	3	79.6%	3.1%	\$264.27	3.7%	\$210.37	6.9%	-0.8%	2.3%
2023	4	61.9%	6.1%	\$215.94	2.8%	\$133.63	9.0%	0.0%	6.0%
2023	Annual	66.6%	6.6%	\$232.48	6.2%	\$154.84	13.2%	0.1%	6.7%
2024	1	60.3%	10.7%	\$199.50	0.6%	\$120.30	11.3%	5.1%	16.4%
2024	2	77.2%	9.9%	\$244.84	3.3%	\$189.09	13.6%	5.1%	15.5%
2024	3	82.6%	3.7%	\$272.54	3.1%	\$224.98	6.9%	6.0%	9.9%
2024F	4	61.6%	-0.4%	\$217.56	0.8%	\$134.04	0.3%	5.5%	5.0%
2024F	Annual	70.4%	5.8%	\$237.40	2.1%	\$167.21	8.0%	5.4%	11.5%
2025F	Annual	71.5%	1.5%	\$243.39	2.5%	\$173.93	4.0%	2.1%	3.5%
2026F	Annual	73.1%	2.3%	\$252.43	3.7%	\$184.53	6.1%	0.5%	2.8%
2027F	Annual	73.7%	0.9%	\$253.99	0.6%	\$187.25	1.5%	1.0%	1.9%
2028F	Annual	74.8%	1.5%	\$258.78	1.9%	\$193.66	3.4%	1.0%	2.5%
2023 3Q	Year to Date	68.2%	6.7%	\$237.58	7.2%	\$162.04	14.4%	0.1%	6.9%
2024 3Q	Year to Date	73.4%	7.7%	\$243.04	2.3%	\$178.45	10.1%	5.4%	13.5%
2024 3Q	Trailing 4 Qtrs	70.6%	7.5%	\$237.27	2.5%	\$167.55	10.2%	4.0%	11.8%

Source: CBRE Hotels Research, Kalibri Labs, Q3 2024

US Upper-Priced Hotels - Operating Performance

Year-Over-Year Change – YTD September 2024 vs YTD September 2023



Source: CBRE Hotels, From total sample of 2,550 U.S. hotels submitting monthly P&L information.

For a more comparable and detailed financial comparison, we recommend a BenchmarkerSM report.
Please contact Robert Mandelbaum at +1 404 812 5187 for more information.

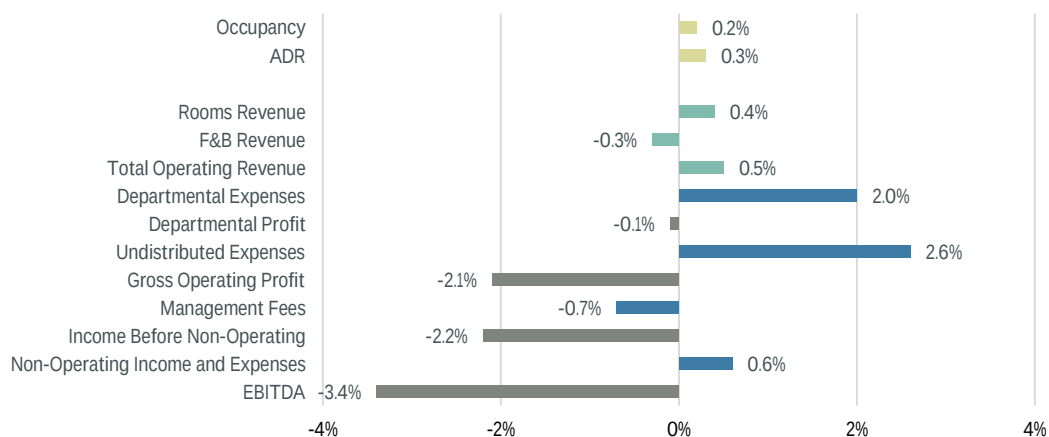
Seattle, WA Forecast - Mid-Priced Hotels

Year	Period	Occ	Δ Occ	ADR	Δ ADR	RevPAR	Δ RevPAR	Δ Supply	Δ Demand
2019	Annual	74.5%	-1.0%	\$152.26	-3.0%	\$113.48	-3.9%	2.3%	1.3%
2020	Annual	36.6%	-50.8%	\$108.07	-29.0%	\$39.60	-65.1%	2.4%	-49.7%
2021	1	40.4%	-25.1%	\$89.34	-30.6%	\$36.06	-48.1%	2.4%	-23.4%
2021	2	57.6%	158.0%	\$108.42	12.1%	\$62.49	189.1%	5.8%	173.0%
2021	3	67.0%	84.4%	\$140.25	41.6%	\$93.99	161.2%	5.9%	95.3%
2021	4	55.9%	66.2%	\$121.40	32.0%	\$67.85	119.5%	5.3%	75.0%
2021	Annual	55.4%	51.1%	\$118.16	9.3%	\$65.43	65.2%	4.9%	58.5%
2022	1	58.7%	45.5%	\$119.16	33.4%	\$69.98	94.1%	-3.1%	40.9%
2022	2	77.9%	35.2%	\$158.70	46.4%	\$123.65	97.9%	-3.8%	30.0%
2022	3	82.0%	22.4%	\$188.59	34.5%	\$154.72	64.6%	-4.2%	17.3%
2022	4	65.7%	17.5%	\$143.96	18.6%	\$94.53	39.3%	-4.1%	12.7%
2022	Annual	71.2%	28.5%	\$155.98	32.0%	\$110.99	69.6%	-3.8%	23.6%
2023	1	62.5%	6.4%	\$136.93	14.9%	\$85.56	22.3%	3.2%	9.8%
2023	2	75.6%	-3.0%	\$167.05	5.3%	\$126.27	2.1%	3.0%	-0.1%
2023	3	82.7%	0.8%	\$192.58	2.1%	\$159.23	2.9%	2.0%	2.8%
2023	4	64.9%	-1.1%	\$144.84	0.6%	\$94.06	-0.5%	1.3%	0.2%
2023	Annual	71.5%	0.4%	\$162.94	4.5%	\$116.45	4.9%	2.4%	2.8%
2024	1	64.4%	3.0%	\$137.28	0.3%	\$88.36	3.3%	-1.9%	1.0%
2024	2	77.7%	2.8%	\$173.17	3.7%	\$134.58	6.6%	-1.9%	0.8%
2024	3	84.0%	1.6%	\$197.36	2.5%	\$165.78	4.1%	-1.9%	-0.4%
2024F	4	64.9%	-0.1%	\$147.59	1.9%	\$95.74	1.8%	-0.6%	-0.8%
2024F	Annual	72.7%	1.8%	\$166.53	2.2%	\$121.12	4.0%	-1.6%	0.1%
2025F	Annual	72.1%	-0.9%	\$170.90	2.6%	\$123.17	1.7%	3.7%	2.7%
2026F	Annual	73.9%	2.5%	\$177.10	3.6%	\$130.81	6.2%	0.8%	3.3%
2027F	Annual	74.4%	0.7%	\$178.01	0.5%	\$132.38	1.2%	0.5%	1.2%
2028F	Annual	74.5%	0.1%	\$181.18	1.8%	\$134.92	1.9%	0.5%	0.7%
2023 3Q	Year to Date	73.7%	0.9%	\$168.29	5.4%	\$123.96	6.3%	2.7%	3.6%
2024 3Q	Year to Date	75.4%	2.4%	\$172.04	2.2%	\$129.70	4.6%	-1.9%	0.4%
2024 3Q	Trailing 4 Qtrs	72.7%	1.5%	\$165.87	1.9%	\$120.65	3.4%	-1.1%	0.3%

Source: CBRE Hotels Research, Kalibri Labs, Q3 2024

US Middle-Priced Hotels - Operating Performance

Year-Over-Year Change – YTD September 2024 vs YTD September 2023



Source: CBRE Hotels, From total sample of 2,550 U.S. hotels submitting monthly P&L information.

For a more comparable and detailed financial comparison, we recommend a BenchmarkSM report.
Please contact Robert Mandelbaum at +1 404 812 5187 for more information.

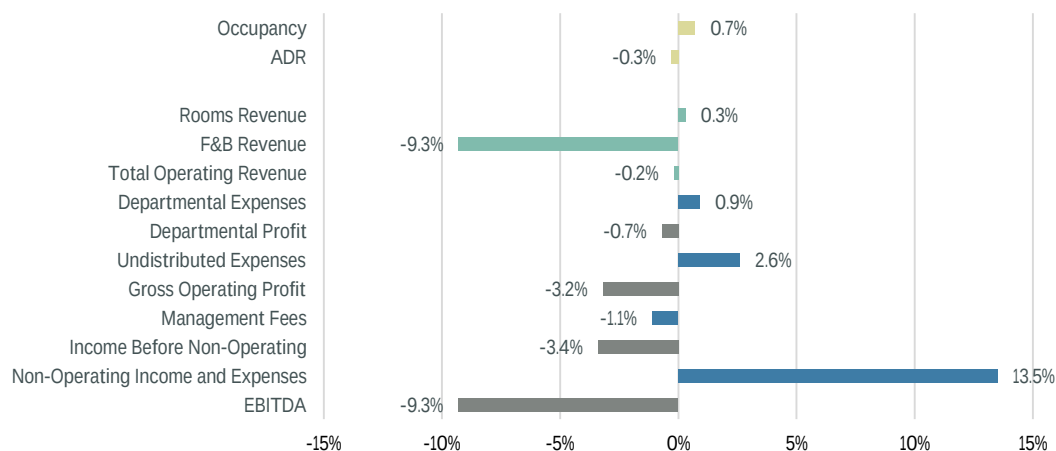
Seattle, WA Forecast - Lower-Priced Hotels

Year	Period	Occ	Δ Occ	ADR	Δ ADR	RevPAR	Δ RevPAR	Δ Supply	Δ Demand
2019	Annual	68.1%	-1.1%	\$84.05	-2.7%	\$57.25	-3.7%	-4.6%	-5.6%
2020	Annual	51.4%	-24.5%	\$65.14	-22.5%	\$33.51	-41.5%	0.6%	-24.0%
2021	1	55.0%	-3.1%	\$62.36	-7.2%	\$34.32	-10.1%	-4.6%	-7.6%
2021	2	64.9%	58.7%	\$73.63	13.0%	\$47.82	79.3%	-4.3%	51.8%
2021	3	72.6%	32.2%	\$92.33	39.4%	\$67.02	84.3%	-6.4%	23.8%
2021	4	60.2%	13.6%	\$79.87	29.2%	\$48.11	46.8%	-8.5%	3.9%
2021	Annual	63.2%	22.9%	\$77.99	19.7%	\$49.29	47.1%	-6.0%	15.5%
2022	1	62.4%	13.4%	\$77.46	24.2%	\$48.33	40.8%	-3.4%	9.6%
2022	2	75.1%	15.6%	\$98.88	34.3%	\$74.22	55.2%	-2.7%	12.5%
2022	3	78.1%	7.6%	\$118.16	28.0%	\$92.28	37.7%	0.5%	8.1%
2022	4	62.5%	3.7%	\$87.37	9.4%	\$54.56	13.4%	2.7%	6.5%
2022	Annual	69.5%	10.0%	\$97.03	24.4%	\$67.47	36.9%	-0.7%	9.2%
2023	1	65.3%	4.6%	\$81.63	5.4%	\$53.29	10.3%	-1.2%	3.3%
2023	2	73.5%	-2.1%	\$96.98	-1.9%	\$71.25	-4.0%	-2.0%	-4.1%
2023	3	79.5%	1.8%	\$111.06	-6.0%	\$88.29	-4.3%	-3.0%	-1.3%
2023	4	67.2%	7.6%	\$80.74	-7.6%	\$54.27	-0.5%	-2.9%	4.5%
2023	Annual	71.4%	2.7%	\$93.60	-3.5%	\$66.81	-1.0%	-2.3%	0.3%
2024	1	68.9%	5.6%	\$74.49	-8.7%	\$51.34	-3.7%	-2.3%	3.1%
2024	2	77.3%	5.2%	\$94.39	-2.7%	\$72.92	2.3%	-2.5%	2.5%
2024	3	80.0%	0.6%	\$112.62	1.4%	\$90.08	2.0%	-3.1%	-2.5%
2024F	4	66.2%	-1.5%	\$80.74	0.0%	\$53.48	-1.5%	-3.1%	-4.5%
2024F	Annual	73.1%	2.4%	\$91.57	-2.2%	\$66.93	0.2%	-2.8%	-0.4%
2025F	Annual	72.8%	-0.3%	\$93.39	2.0%	\$68.03	1.7%	-0.5%	-0.9%
2026F	Annual	71.6%	-1.7%	\$95.36	2.1%	\$68.32	0.4%	0.2%	-1.5%
2027F	Annual	72.0%	0.5%	\$96.68	1.4%	\$69.58	1.9%	0.6%	1.1%
2028F	Annual	71.8%	-0.2%	\$98.43	1.8%	\$70.71	1.6%	0.6%	0.4%
2023 3Q	Year to Date	72.8%	1.2%	\$97.59	-2.3%	\$71.02	-1.1%	-2.1%	-0.9%
2024 3Q	Year to Date	75.4%	3.6%	\$94.75	-2.9%	\$71.41	0.5%	-2.7%	0.8%
2024 3Q	Trailing 4 Qtrs	73.3%	4.5%	\$91.46	-4.0%	\$67.02	0.3%	-2.7%	1.7%

Source: CBRE Hotels Research, Kalibri Labs, Q3 2024

US Lower-Priced Hotels - Operating Performance

Year-Over-Year Change – YTD September 2024 vs YTD September 2023

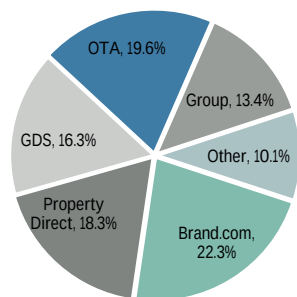


Source: CBRE Hotels, From total sample of 2,550 U.S. hotels submitting monthly P&L information.

For a more comparable and detailed financial comparison, we recommend a BenchmarkerSM report.
Please contact Robert Mandelbaum at +1 404 812 5187 for more information.

Room Nights and ADR by Source of Business - Seattle, WA

All Hotels - Room Nights 2024 YTD

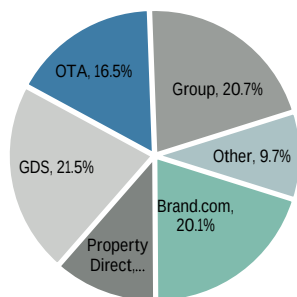


Room Nights by Source of Business

ADR by Source of Business

Source	2023 YTD	2024 YTD	2023 YTD	2024 YTD
Brand.com	22.3%	22.3%	\$207.12	\$208.93
Property Direct	19.5%	18.3%	\$136.20	\$138.86
Voice	4.1%	3.9%	\$177.22	\$174.55
Internal Discounts	5.6%	5.3%	\$96.52	\$103.94
GDS	14.6%	16.3%	\$214.64	\$223.00
FIT/Wholesale	0.8%	1.0%	\$169.08	\$174.92
OTA	19.6%	19.6%	\$161.53	\$164.63
Group	13.4%	13.4%	\$198.35	\$205.63

Upper-Priced Hotels - Room Nights 2024 YTD

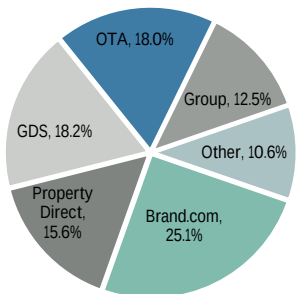


Room Nights by Source of Business

ADR by Source of Business

Source	2023 YTD	2024 YTD	2023 YTD	2024 YTD
Brand.com	21.5%	20.1%	\$282.21	\$286.40
Property Direct	11.6%	11.5%	\$191.91	\$198.90
Voice	2.9%	2.4%	\$291.13	\$294.94
Internal Discounts	7.5%	6.4%	\$128.29	\$141.39
GDS	19.4%	21.5%	\$261.07	\$265.44
FIT/Wholesale	0.8%	0.9%	\$219.58	\$216.48
OTA	15.2%	16.5%	\$228.17	\$231.38
Group	21.2%	20.7%	\$233.17	\$237.70

Mid-Priced Hotels - Room Nights 2024 YTD

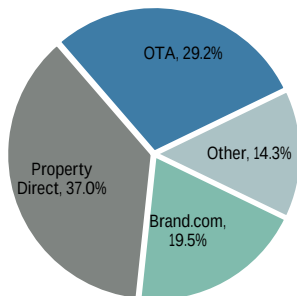


Room Nights by Source of Business

ADR by Source of Business

Source	2023 YTD	2024 YTD	2023 YTD	2024 YTD
Brand.com	24.5%	25.1%	\$194.71	\$197.37
Property Direct	16.4%	15.6%	\$151.08	\$151.31
Voice	3.3%	3.1%	\$195.98	\$198.99
Internal Discounts	6.4%	6.3%	\$74.30	\$78.00
GDS	16.3%	18.2%	\$183.82	\$189.81
FIT/Wholesale	1.0%	1.1%	\$161.98	\$166.79
OTA	19.0%	18.0%	\$163.72	\$164.04
Group	13.0%	12.5%	\$165.24	\$172.93

Lower-Priced Hotels - Room Nights 2024 YTD



Room Nights by Source of Business

ADR by Source of Business

Source	2023 YTD	2024 YTD	2023 YTD	2024 YTD
Brand.com	18.0%	19.5%	\$101.22	\$98.44
Property Direct	39.6%	37.0%	\$95.11	\$92.15
Voice	8.0%	8.3%	\$92.70	\$90.30
Internal Discounts	1.0%	0.8%	\$47.04	\$42.40
GDS	2.7%	2.4%	\$116.73	\$120.17
FIT/Wholesale	0.6%	0.6%	\$92.58	\$93.00
OTA	28.3%	29.2%	\$99.93	\$96.33
Group	1.7%	2.2%	\$95.72	\$91.27

Brand.com: Transient bookings sold via property or brand's website

Voice: Transient bookings sold via call centers

GDS: Transient bookings sold via global distribution systems

OTA: Transient bookings sold by an online travel agent

Property Direct: Transient bookings sold directly by property

Internal Discounts: Complimentary, barter, employee, friends & family, loyalty program, house use, permanent rooms, etc.

FIT/Wholesale: Transient bookings sold via wholesalers

Group: Bookings of multiple guests rooms under the same booking, with a group rate

Seattle, WA Short-Term Rental Summary

Below is an overview of short-term rentals in this market. The estimates of short-term rental performance come from AirDNA, a firm that provides data and analytics for 4 million+ short-term rental listings worldwide. Figure 1 shows the total number of units available, sold and revenue generated during October 2023 – September 2024 along with the calculated Occupancy, Average Daily Rate (ADR), Revenue Per Available Room (RevPAR), and year-over-year growth rates. Figure 2 shows the percent of units and revenue by unit type. Figure 3 shows the average daily number of active short-term rental units by month. Figure 4 lists the ADRs broken down by unit types over the past 12 months. More detailed data on short-term rentals in your market can be purchased directly from AirDNA at airdna.co.

Fig. 1: Short-Term Rental Performance
October 2023 – September 2024

Metric	2024	YoY Change
Occupancy	64.4%	0.2%
ADR	\$209.33	2.6%
RevPAR	\$134.85	2.7%
Available Supply	2,435,830	7.6%
Units Sold	1,569,099	7.8%
Total Revenue	\$328,464,328	10.6%

Source: AirDNA, CBRE Hotels Research, Q3 2024

Fig. 2: Percent of Active Units and Revenue by Listing Type

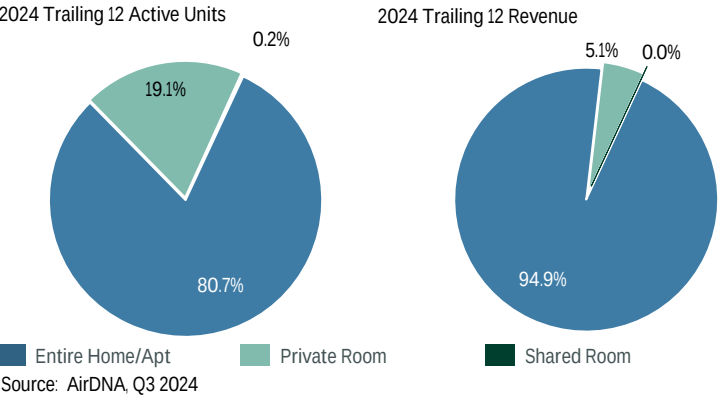


Fig. 3: October 2023 – September 2024 Active/Available Units by Month

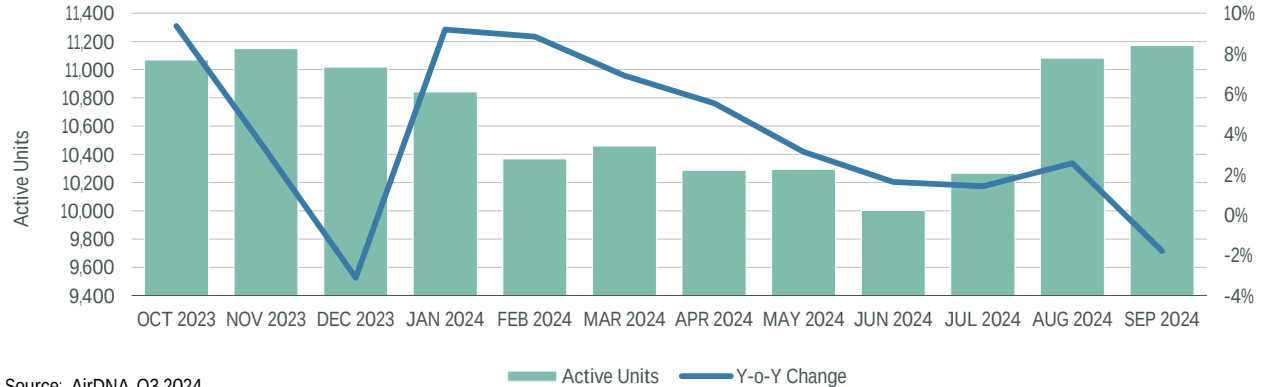
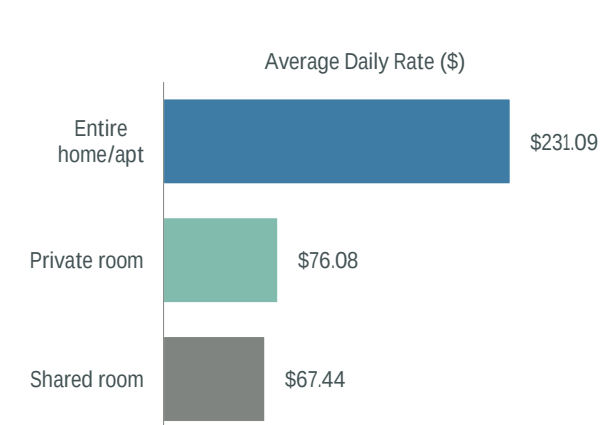


Fig. 4: October 2023 – September 2024 ADRs by Unit Type



Glossary

Active Units - A unit is considered active if it had at least one night sold during the month.

Available Units - Total number of listings available for booking on short-term rentals in that month.

Average Daily Rate (ADR) - The revenue collected divided by the units sold.

Unit Types:

Entire Home - The guest has complete and sole access to the entire unit during the stay.

Private Room - The guest has their own sleeping area, but shares access to the unit common areas with others.

Shared Room - The guest rents a common area, like an airbed in a living room.

National Horizon Profile

Future Market Growth

This page showcases the CBRE Hotels Research Hotel Horizons® 65- city forecasting universe. The map below presents CBRE’s forecasted 2024 RevPAR as a percent of 2019. This provides a glimpse of the pace of future market growth across the nation. Quarterly Hotel Horizons® reports are available for the nation and all the markets shown below.

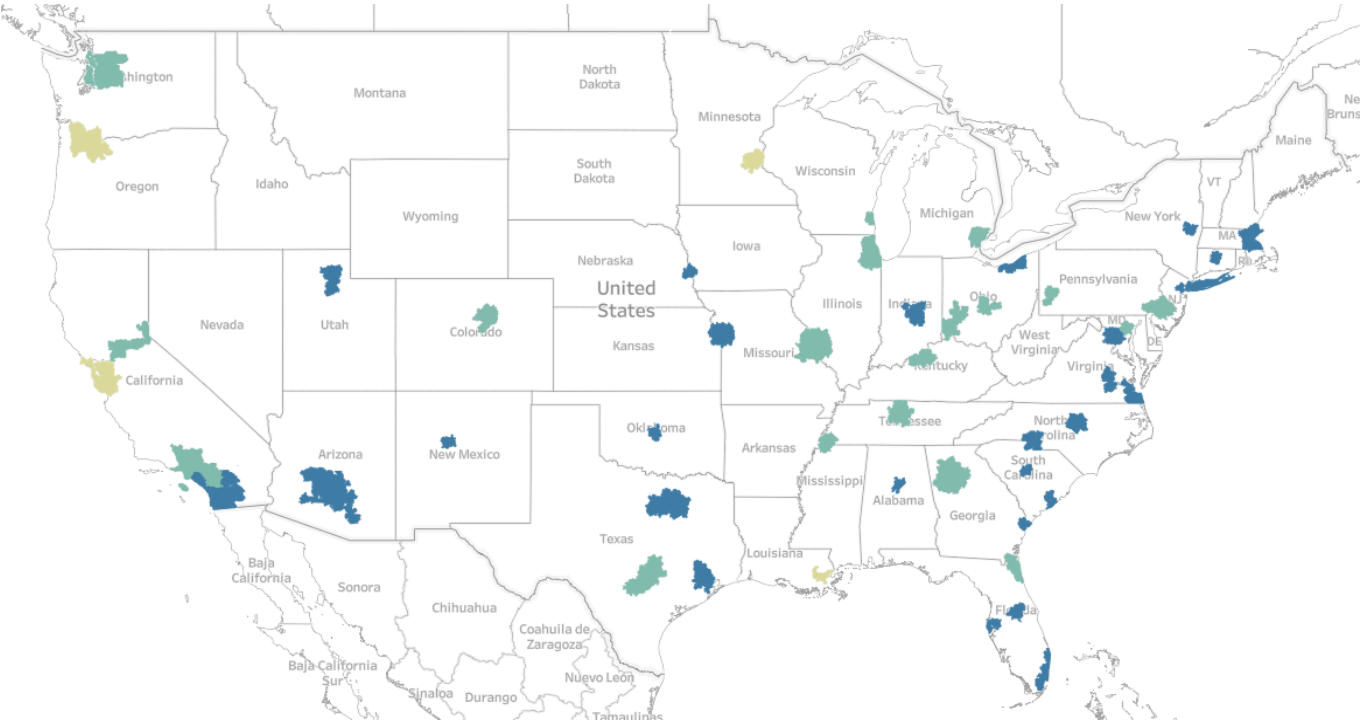
<https://pip.cbrehotels.com>

- Albany
- Albuquerque
- Anaheim
- Atlanta
- Austin
- Baltimore
- Birmingham
- Boston
- Charleston
- Charlotte
- Chicago
- Cincinnati
- Cleveland
- Coachella Valley
- Columbia
- Columbus
- Dallas
- Dayton
- Denver
- Detroit
- Fort Lauderdale
- Fort Worth
- Hartford
- Hawaii
- Houston
- Indianapolis
- Jacksonville
- Kansas City
- Long Island
- Los Angeles
- Louisville
- Memphis
- Miami
- Milwaukee
- Minneapolis
- Nashville
- New Orleans
- New York
- Newark
- Oakland
- Oklahoma City
- Omaha
- Orlando
- Philadelphia
- Phoenix
- Pittsburgh
- Portland
- Raleigh
- Richmond
- Sacramento
- Saint Louis
- Saint Petersburg
- Salt Lake City
- San Antonio
- San Bernardino
- San Diego
- San Francisco
- San Jose
- Savannah
- Seattle
- Tampa
- Tucson
- Virginia Beach
- Washington DC
- West Palm Beach

Greater than 115%

Between 100% and 115%

Less than 100%



Seattle, WA Market Profile

Total Room Supply: 49,123

Seattle, WA Top Brands

Upper-Priced	Properties	Rooms	% Mkt
Hyatt	5	3,142	6.4%
Marriott	4	1,471	3.0%
Sheraton	1	1,236	2.5%
Westin	2	1,228	2.5%
Hilton	3	1,053	2.1%

Mid-Priced	Properties	Rooms	% Mkt
Residence Inn	11	1,932	3.9%
Courtyard	10	1,895	3.9%
Hampton Inn	13	1,810	3.7%
Hilton Garden Inn	9	1,518	3.1%
Doubletree	2	1,069	2.2%

Lower-Priced	Properties	Rooms	% Mkt
Extended Stay America	11	1,255	2.6%
Motel 6	8	822	1.7%
Quality Inn	6	558	1.1%
Best Western	4	474	1.0%
Ramada	4	465	0.9%

Source: Kalibri Labs, Q3 2024

Supply Pipeline

Project Phase	Upper-Priced			Mid-Priced			Lower-Priced			Unclassified / Independent		
	Properties	Rooms	% Mkt	Properties	Rooms	% Mkt	Properties	Rooms	% Mkt	Properties	Rooms	% Mkt
Planning	3	311	0.6%	7	1,146	2.3%	7	622	1.3%	21	3,772	7.7%
Final Planning/Bidding	0	0	0.0%	9	1,486	3.0%	0	0	0.0%	0	0	0.0%
Underway	2	285	0.6%	5	943	1.9%	0	0	0.0%	0	0	0.0%
Total	5	596	1.2%	21	3,575	7.3%	7	622	1.3%	21	3,772	7.7%

Source: Dodge, CBRE Hotels Research, Q3 2024

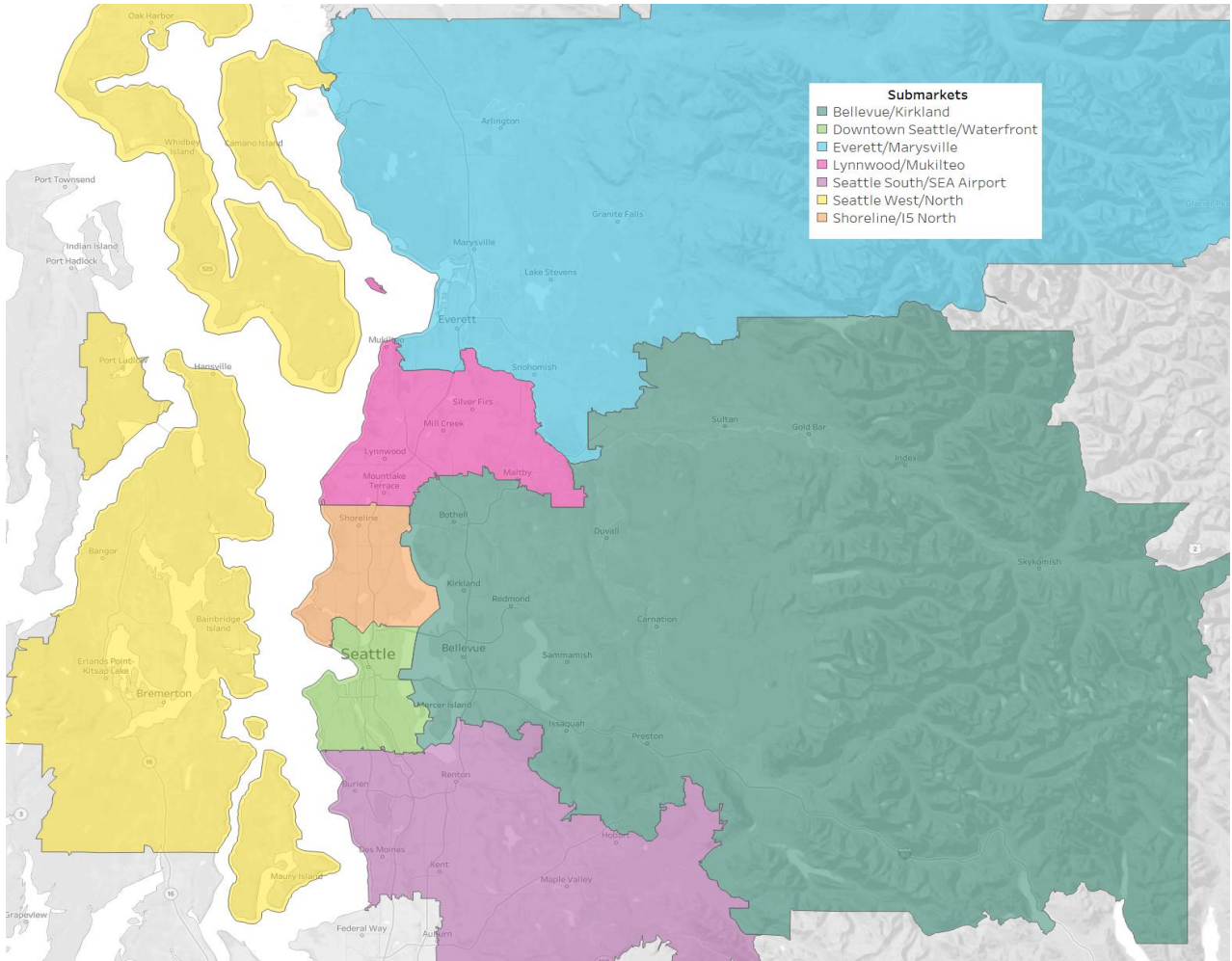
Pipeline Status Definitions

Project Phase	Definition
Planning	Projects reported at the planning stage have an architect associated with them who is starting to draw the schematic plans for the building. Projects in this stage are closer to ground breaking but still have a fairly low probability of starting.
Final Planning	At this stage, plans for a project have been or are about to be finalized. The project is moving towards final approvals. Once a project has reached the final planning stage, there is a high probability that the construction contract will be awarded within the next six months.
Bidding	Once the plans for the project have been finalized, the project is put out to bid by general contractors. At this stage in the planning cycle, projects are very close to being awarded and have a very high probability of coming to market.
Underway	Projects that are under construction.

Source: Dodge, Q3 2024

Seattle, WA Submarket Map

Total Room Supply: 49,123



Source: Kalibri Labs, Q3 2024

Seattle, WA Submarket Summary

Submarket	Upper-Priced			Mid-Priced			Lower-Priced			Totals		
	Properties	Rooms	% Mkt	Properties	Rooms	% Mkt	Properties	Rooms	% Mkt	Properties	Rooms	% Mkt
Downtown Seattle/Waterfront	44	11,279	23.0%	33	5,291	10.8%	9	871	1.8%	86	17,441	35.5%
Seattle South/SEA Airport	6	1,616	3.3%	43	6,791	13.8%	38	3,602	7.3%	87	12,009	24.4%
Shoreline/I5 North	5	466	0.9%	10	1,080	2.2%	9	412	0.8%	24	1,958	4.0%
Lynnwood/Mukilteo	2	310	0.6%	14	1,670	3.4%	14	1,241	2.5%	30	3,221	6.6%
Bellevue/Kirkland	15	3,279	6.7%	38	5,200	10.6%	16	1,617	3.3%	69	10,096	20.6%
Everett/Marysville	2	512	1.0%	11	1,193	2.4%	10	544	1.1%	23	2,249	4.6%
Seattle West/North	5	102	0.2%	11	877	1.8%	18	1,170	2.4%	34	2,149	4.4%
Total	79	17,564	35.8%	160	22,102	45.0%	114	9,457	19.3%	353	49,123	100.0%

Source: Kalibri Labs, Q3 2024

Submarket Profile - Everett/Marysville

Submarket Rank*

7 out of 7

*Based on RevPAR change over the last 4 quarters.

RevPAR Penetration

67%

Trailing 4 Quarters

Submarket Room Supply: 2,249



Submarket Performance

Year	Occ	Δ Occ	ADR	Δ ADR	RevPAR	Δ RevPAR
2019	66.5%	-4.1%	\$112.95	-2.6%	\$75.12	-6.6%
2020	43.2%	-35.0%	\$91.22	-19.2%	\$39.45	-47.5%
2021	54.2%	25.4%	\$111.07	21.8%	\$60.23	52.7%
2022	68.4%	26.1%	\$120.64	8.6%	\$82.46	36.9%
2023	69.9%	2.3%	\$123.98	2.8%	\$86.68	5.1%
2023 YTD	72.9%	3.3%	\$126.97	3.7%	\$92.56	7.1%
2024 YTD	69.3%	-4.9%	\$129.98	2.4%	\$90.14	-2.6%

Source: Kalibri Labs, Q3 2024

Submarket Penetration vs. Market Total

Year	Occ	ADR	RevPAR
2019	89.7%	70.6%	63.4%
2020	119.9%	85.3%	102.3%
2021	103.1%	91.6%	94.4%
2022	100.8%	73.7%	74.3%
2023	100.2%	72.2%	72.3%
2023 YTD	101.8%	71.9%	73.1%
2024 YTD	92.9%	71.3%	66.3%

Source: Kalibri Labs, Q3 2024

Upper-Priced Hotels Performance (Data Not Available)

Year	Occ	Δ Occ	ADR	Δ ADR	RevPAR	Δ RevPAR
2019	Insufficient Upper-Priced Data					
2020						
2021						
2022						
2023						
2023 YTD						
2024 YTD						

Source: Kalibri Labs, Q3 2024

Top Brands

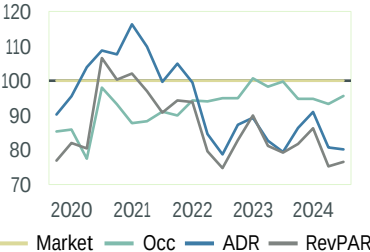
Hotel Indigo (142 rms)

Mid-Priced Hotels Performance

Year	Occ	Δ Occ	ADR	Δ ADR	RevPAR	Δ RevPAR
2019	64.8%	-6.7%	\$130.32	-0.6%	\$84.39	-7.3%
2020	32.7%	-49.5%	\$109.66	-15.9%	\$35.83	-57.5%
2021	49.5%	51.4%	\$124.94	13.9%	\$61.80	72.5%
2022	67.2%	35.9%	\$133.09	6.5%	\$89.44	44.7%
2023	70.3%	4.6%	\$136.10	2.3%	\$95.70	7.0%
2023 YTD	73.3%	6.3%	\$139.23	2.7%	\$102.03	9.1%
2024 YTD	71.3%	-2.7%	\$142.51	2.4%	\$101.58	-0.4%

Source: Kalibri Labs, Q3 2024

Mid-Priced Penetration of Market



Top Brands

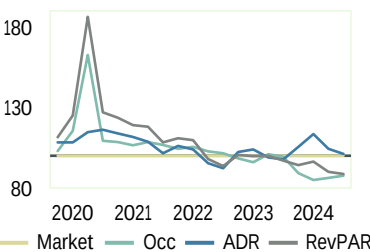
- Delta Hotels (232 rms)
- Courtyard (156 rms)
- Hampton Inn (122 rms)
- La Quinta Inn & Suites (117 rms)
- Holiday Inn Express (100 rms)

Lower-Priced Hotels Performance

Year	Occ	Δ Occ	ADR	Δ ADR	RevPAR	Δ RevPAR
2019	69.5%	0.5%	\$85.16	-11.0%	\$59.21	-10.5%
2020	62.4%	-10.3%	\$73.73	-13.4%	\$46.01	-22.3%
2021	67.4%	8.0%	\$82.91	12.4%	\$55.88	21.4%
2022	70.9%	5.3%	\$94.19	13.6%	\$66.81	19.6%
2023	68.9%	-2.8%	\$94.74	0.6%	\$65.32	-2.2%
2023 YTD	72.0%	-2.9%	\$97.42	2.0%	\$70.13	-1.0%
2024 YTD	65.1%	-9.5%	\$99.88	2.5%	\$65.04	-7.3%

Source: Kalibri Labs, Q3 2024

Lower-Priced Penetration of Market



Top Brands

- Best Western (134 rms)
- Woodspring Suites (121 rms)
- Quality Inn (111 rms)
- Travelodge (29 rms)

Everett/Marysville Construction Pipeline

Project Phase	Upper-Priced			Mid-Priced			Lower-Priced			Unclassified/Independent		
	Props	Rms	%SubMkt	Props	Rms	%SubMkt	Props	Rms	%SubMkt	Props	Rms	%SubMkt
Planning	0	0	0.0%	0	0	0.0%	0	0	0.0%	2	292	13.0%
Final Planning/Bidding	0	0	0.0%	0	0	0.0%	0	0	0.0%	0	0	0.0%
Underway	0	0	0.0%	0	0	0.0%	0	0	0.0%	0	0	0.0%
Total	0	0	0.0%	0	0	0.0%	0	0	0.0%	2	292	13.0%

Source: Dodge, CBRE Hotels Research, Q3 2024

Submarket Profile - Downtown Seattle/Waterfront

Submarket Room Supply: 17,441

Submarket Rank*

2 out of 7

*Based on RevPAR change over the last 4 quarters.

RevPAR Penetration

127%

Trailing 4 Quarters



- Upper-Priced, 65%
- Mid-Priced, 30%
- Lower-Priced, 5%

Submarket Performance

Year	Occ	Δ Occ	ADR	Δ ADR	RevPAR	Δ RevPAR
2019	78.7%	0.0%	\$201.04	-6.7%	\$158.23	-6.7%
2020	28.0%	-64.4%	\$137.13	-31.8%	\$38.41	-75.7%
2021	46.8%	67.2%	\$150.67	9.9%	\$70.56	83.7%
2022	66.0%	40.9%	\$202.92	34.7%	\$133.86	89.7%
2023	69.5%	5.4%	\$217.51	7.2%	\$151.24	13.0%
2023 YTD	71.4%	5.9%	\$223.96	8.2%	\$159.97	14.6%
2024 YTD	75.3%	5.5%	\$229.81	2.6%	\$173.10	8.2%

Source: Kalibri Labs, Q3 2024

Submarket Penetration vs. Market Total

Year	Occ	ADR	RevPAR
2019	106.2%	125.7%	133.5%
2020	77.7%	128.2%	99.6%
2021	89.0%	124.3%	110.6%
2022	97.2%	124.0%	120.5%
2023	99.6%	126.7%	126.2%
2023 YTD	99.7%	126.8%	126.4%
2024 YTD	100.9%	126.1%	127.2%

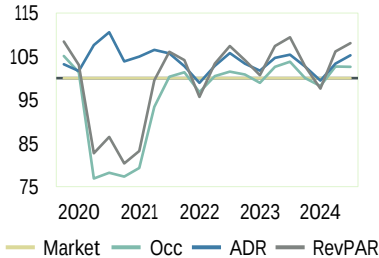
Source: Kalibri Labs, Q3 2024

Upper-Priced Hotels Performance

Year	Occ	Δ Occ	ADR	Δ ADR	RevPAR	Δ RevPAR
2019	80.3%	0.0%	\$220.58	-8.6%	\$177.17	-8.6%
2020	22.7%	-71.7%	\$168.76	-23.5%	\$38.34	-78.4%
2021	40.5%	78.4%	\$177.84	5.4%	\$72.10	88.0%
2022	62.7%	54.6%	\$227.32	27.8%	\$142.45	97.6%
2023	67.7%	8.0%	\$242.27	6.6%	\$163.95	15.1%
2023 YTD	69.6%	8.8%	\$248.48	7.8%	\$173.05	17.3%
2024 YTD	74.5%	6.9%	\$251.49	1.2%	\$187.24	8.2%

Source: Kalibri Labs, Q3 2024

Upper-Priced Penetration of Market



Top Brands

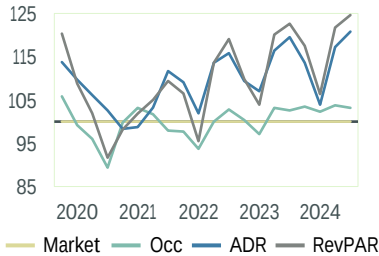
Hyatt (2063 rms)
 Sheraton (1236 rms)
 Westin (891 rms)
 Silver Cloud (574 rms)
 Renaissance (557 rms)

Mid-Priced Hotels Performance

Year	Occ	Δ Occ	ADR	Δ ADR	RevPAR	Δ RevPAR
2019	77.3%	-0.6%	\$177.90	-6.9%	\$137.59	-7.5%
2020	35.5%	-54.1%	\$114.60	-35.6%	\$40.64	-70.5%
2021	55.3%	55.9%	\$126.31	10.2%	\$69.84	71.8%
2022	71.0%	28.3%	\$175.49	38.9%	\$124.52	78.3%
2023	72.7%	2.5%	\$188.28	7.3%	\$136.97	10.0%
2023 YTD	74.6%	2.6%	\$195.30	7.8%	\$145.66	10.6%
2024 YTD	77.8%	4.3%	\$199.29	2.0%	\$154.97	6.4%

Source: Kalibri Labs, Q3 2024

Mid-Priced Penetration of Market



Top Brands

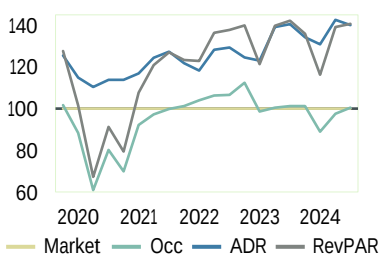
Residence Inn (536 rms)
 Courtyard (512 rms)
 CitizenM Hotels (496 rms)
 Crowne Plaza (418 rms)
 Springhill Suites (234 rms)

Lower-Priced Hotels Performance

Year	Occ	Δ Occ	ADR	Δ ADR	RevPAR	Δ RevPAR
2019	69.7%	-0.6%	\$109.78	-1.7%	\$76.53	-2.4%
2020	39.0%	-44.0%	\$74.19	-32.4%	\$28.97	-62.1%
2021	61.6%	57.9%	\$96.43	30.0%	\$59.44	105.2%
2022	74.5%	20.9%	\$122.28	26.8%	\$91.14	53.3%
2023	71.7%	-3.8%	\$126.92	3.8%	\$91.01	-0.2%
2023 YTD	72.9%	-4.1%	\$132.75	5.0%	\$96.80	0.7%
2024 YTD	72.4%	-0.8%	\$132.78	0.0%	\$96.08	-0.7%

Source: Kalibri Labs, Q3 2024

Lower-Priced Penetration of Market



Top Brands

Quality Inn (159 rms)
 Travelodge (88 rms)

Downtown Seattle/Waterfront Construction Pipeline

Project Phase	Upper-Priced			Mid-Priced			Lower-Priced			Unclassified/Independent		
	Props	Rms	%SubMkt	Props	Rms	%SubMkt	Props	Rms	%SubMkt	Props	Rms	%SubMkt
Planning	1	150	0.9%	2	379	2.2%	4	329	1.9%	8	1,864	10.7%
Final Planning/Bidding	0	0	0.0%	2	505	2.9%	0	0	0.0%	0	0	0.0%
Underway	1	120	0.7%	2	343	2.0%	0	0	0.0%	0	0	0.0%
Total	2	270	1.5%	6	1,227	7.0%	4	329	1.9%	8	1,864	10.7%

Source: Dodge, CBRE Hotels Research, Q3 2024

Submarket Profile - Seattle South/SEA Airport

Submarket Room Supply: 12,009

Submarket Rank*

4 out of 7

*Based on RevPAR change over the last 4 quarters.

RevPAR Penetration

81%

Trailing 4 Quarters



- Upper-Priced, 13%
- Mid-Priced, 57%
- Lower-Priced, 30%

Submarket Performance

Year	Occ	Δ Occ	ADR	Δ ADR	RevPAR	Δ RevPAR
2019	74.2%	-0.7%	\$122.52	-0.4%	\$90.85	-1.1%
2020	43.3%	-41.7%	\$87.25	-28.8%	\$37.75	-58.5%
2021	59.5%	37.6%	\$102.23	17.2%	\$60.85	61.2%
2022	73.2%	23.0%	\$131.86	29.0%	\$96.57	58.7%
2023	73.4%	0.3%	\$136.16	3.3%	\$99.99	3.5%
2023 YTD	75.6%	1.0%	\$141.69	5.3%	\$107.19	6.3%
2024 YTD	77.7%	2.7%	\$141.95	0.2%	\$110.25	2.9%

Source: Kalibri Labs, Q3 2024

Submarket Penetration vs. Market Total

Year	Occ	ADR	RevPAR
2019	100.0%	76.6%	76.6%
2020	120.0%	81.6%	97.9%
2021	113.1%	84.3%	95.4%
2022	108.0%	80.6%	87.0%
2023	105.2%	79.3%	83.4%
2023 YTD	105.6%	80.2%	84.7%
2024 YTD	104.0%	77.9%	81.0%

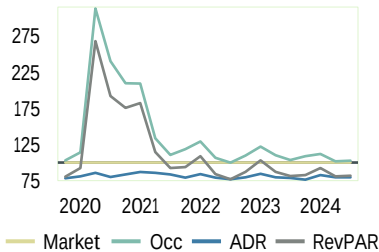
Source: Kalibri Labs, Q3 2024

Upper-Priced Hotels Performance

Year	Occ	Δ Occ	ADR	Δ ADR	RevPAR	Δ RevPAR
2019	78.2%	2.4%	\$167.43	-2.5%	\$130.97	-0.2%
2020	44.3%	-43.4%	\$124.53	-25.6%	\$55.16	-57.9%
2021	55.1%	24.5%	\$135.88	9.1%	\$74.92	35.8%
2022	68.1%	23.5%	\$171.24	26.0%	\$116.57	55.6%
2023	73.3%	7.7%	\$183.75	7.3%	\$134.77	15.6%
2023 YTD	75.4%	8.6%	\$189.42	9.7%	\$142.86	19.2%
2024 YTD	77.0%	2.1%	\$194.40	2.6%	\$149.76	4.8%

Source: Kalibri Labs, Q3 2024

Upper-Priced Penetration of Market



Top Brands

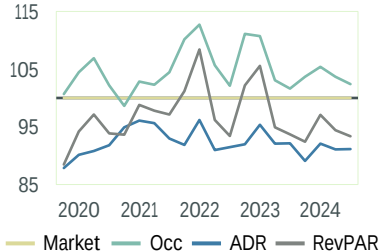
Marriott (462 rms)
Hilton (396 rms)
Hyatt (347 rms)
Embassy Suites (242 rms)

Mid-Priced Hotels Performance

Year	Occ	Δ Occ	ADR	Δ ADR	RevPAR	Δ RevPAR
2019	75.3%	-1.6%	\$135.03	-1.6%	\$101.67	-3.2%
2020	37.8%	-49.8%	\$99.24	-26.5%	\$37.48	-63.1%
2021	58.2%	54.1%	\$110.88	11.7%	\$64.52	72.2%
2022	76.4%	31.2%	\$142.91	28.9%	\$109.13	69.1%
2023	74.6%	-2.3%	\$149.59	4.7%	\$111.65	2.3%
2023 YTD	77.1%	-0.5%	\$155.64	6.4%	\$119.99	5.9%
2024 YTD	78.2%	1.4%	\$156.89	0.8%	\$122.66	2.2%

Source: Kalibri Labs, Q3 2024

Mid-Priced Penetration of Market



Top Brands

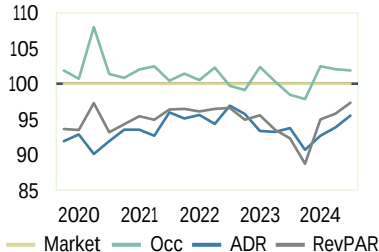
Doubletree (1069 rms)
Hampton Inn (705 rms)
Courtyard (520 rms)
Residence Inn (460 rms)
Comfort Suites (371 rms)

Lower-Priced Hotels Performance

Year	Occ	Δ Occ	ADR	Δ ADR	RevPAR	Δ RevPAR
2019	70.4%	-0.9%	\$77.64	-2.7%	\$54.66	-3.7%
2020	52.7%	-25.2%	\$60.04	-22.7%	\$31.62	-42.2%
2021	64.2%	21.9%	\$73.66	22.7%	\$47.27	49.5%
2022	69.8%	8.8%	\$92.93	26.2%	\$64.88	37.3%
2023	71.2%	1.9%	\$86.91	-6.5%	\$61.83	-4.7%
2023 YTD	73.0%	0.6%	\$91.07	-4.8%	\$66.45	-4.2%
2024 YTD	77.0%	5.5%	\$89.30	-1.9%	\$68.73	3.4%

Source: Kalibri Labs, Q3 2024

Lower-Priced Penetration of Market



Top Brands

Ramada (465 rms)
Motel 6 (314 rms)
Extended Stay America (310 rms)
Days Inn (246 rms)
SureStay (214 rms)

Seattle South/SEA Airport Construction Pipeline

Project Phase	Upper-Priced			Mid-Priced			Lower-Priced			Unclassified/Independent		
	Props	Rms	%SubMkt	Props	Rms	%SubMkt	Props	Rms	%SubMkt	Props	Rms	%SubMkt
Planning	0	0	0.0%	1	136	1.1%	1	88	0.7%	2	280	2.3%
Final Planning/Bidding	0	0	0.0%	3	442	3.7%	0	0	0.0%	0	0	0.0%
Underway	0	0	0.0%	0	0	0.0%	0	0	0.0%	0	0	0.0%
Total	0	0	0.0%	4	578	4.8%	1	88	0.7%	2	280	2.3%

Source: Dodge, CBRE Hotels Research, Q3 2024

Submarket Profile - Shoreline/I5 North

Submarket Rank*

5 out of 7

*Based on RevPAR change over the last 4 quarters.

RevPAR Penetration

84%

Trailing 4 Quarters

Submarket Room Supply: 1,958



- Upper-Priced, 24%
- Mid-Priced, 55%
- Lower-Priced, 21%

Submarket Performance

Year	Occ	Δ Occ	ADR	Δ ADR	RevPAR	Δ RevPAR
2019	72.7%	-1.2%	\$134.09	-1.2%	\$97.45	-2.5%
2020	42.9%	-41.0%	\$95.75	-28.6%	\$41.05	-57.9%
2021	58.1%	35.6%	\$114.97	20.1%	\$66.85	62.8%
2022	73.4%	26.2%	\$144.01	25.3%	\$105.66	58.1%
2023	72.5%	-1.2%	\$144.78	0.5%	\$104.98	-0.6%
2023 YTD	74.4%	-0.7%	\$149.52	1.7%	\$111.24	1.0%
2024 YTD	75.1%	1.0%	\$152.12	1.7%	\$114.32	2.8%

Source: Kalibri Labs, Q3 2024

Submarket Penetration vs. Market Total

Year	Occ	ADR	RevPAR
2019	98.1%	83.8%	82.2%
2020	118.9%	89.5%	106.4%
2021	110.5%	94.8%	104.8%
2022	108.1%	88.0%	95.1%
2023	103.9%	84.3%	87.6%
2023 YTD	103.9%	84.6%	87.9%
2024 YTD	100.6%	83.5%	84.0%

Source: Kalibri Labs, Q3 2024

Upper-Priced Hotels Performance (Data Not Available)

Year	Occ	Δ Occ	ADR	Δ ADR	RevPAR	Δ RevPAR
2019	Insufficient Upper-Priced Data					
2020						
2021						
2022						
2023						
2023 YTD						
2024 YTD						

Source: Kalibri Labs, Q3 2024

Top Brands

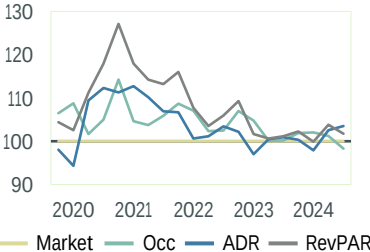
- Silver Cloud (179 rms)
- Graduate Hotels (154 rms)

Mid-Priced Hotels Performance

Year	Occ	Δ Occ	ADR	Δ ADR	RevPAR	Δ RevPAR
2019	76.7%	-1.1%	\$153.21	-3.9%	\$117.57	-4.9%
2020	39.3%	-48.8%	\$112.01	-26.9%	\$44.01	-62.6%
2021	58.5%	48.9%	\$128.06	14.3%	\$74.92	70.2%
2022	74.3%	27.0%	\$158.70	23.9%	\$117.87	57.3%
2023	72.6%	-2.3%	\$162.54	2.4%	\$117.94	0.1%
2023 YTD	74.7%	-1.2%	\$167.67	3.3%	\$125.28	2.0%
2024 YTD	75.7%	1.3%	\$174.90	4.3%	\$132.33	5.6%

Source: Kalibri Labs, Q3 2024

Mid-Priced Penetration of Market



Top Brands

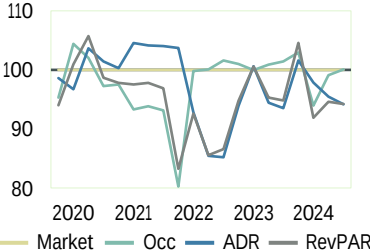
- BW Signature Collection (169 rms)
- Hampton Inn (167 rms)
- Residence Inn (165 rms)
- Courtyard (140 rms)
- Staybridge Suites (120 rms)

Lower-Priced Hotels Performance

Year	Occ	Δ Occ	ADR	Δ ADR	RevPAR	Δ RevPAR
2019	63.9%	-4.2%	\$84.27	-4.4%	\$53.83	-8.4%
2020	51.7%	-19.1%	\$65.30	-22.5%	\$33.76	-37.3%
2021	57.2%	10.7%	\$80.17	22.8%	\$45.88	35.9%
2022	70.0%	22.3%	\$85.79	7.0%	\$60.03	30.9%
2023	72.3%	3.4%	\$90.62	5.6%	\$65.55	9.2%
2023 YTD	73.4%	1.5%	\$93.35	7.4%	\$68.52	9.0%
2024 YTD	73.8%	0.6%	\$90.90	-2.6%	\$67.09	-2.1%

Source: Kalibri Labs, Q3 2024

Lower-Priced Penetration of Market



Top Brands

- Days Inn (110 rms)
- Travelodge (50 rms)
- Americas Best Value Inn (50 rms)

Shoreline/I5 North Construction Pipeline

Project Phase	Upper-Priced			Mid-Priced			Lower-Priced			Unclassified/Independent		
	Props	Rms	%SubMkt	Props	Rms	%SubMkt	Props	Rms	%SubMkt	Props	Rms	%SubMkt
Planning	0	0	0.0%	0	0	0.0%	0	0	0.0%	5	934	47.7%
Final Planning/Bidding	0	0	0.0%	1	180	9.2%	0	0	0.0%	0	0	0.0%
Underway	0	0	0.0%	1	167	8.5%	0	0	0.0%	0	0	0.0%
Total	0	0	0.0%	2	347	17.7%	0	0	0.0%	5	934	47.7%

Source: Dodge, CBRE Hotels Research, Q3 2024

Submarket Profile - Lynnwood/Mukilteo

Submarket Room Supply: 3,221

Submarket Rank*

3 out of 7

*Based on RevPAR change over the last 4 quarters.

RevPAR Penetration

66%

Trailing 4 Quarters



- Upper-Priced, 10%
- Mid-Priced, 52%
- Lower-Priced, 39%

Submarket Performance

Year	Occ	Δ Occ	ADR	Δ ADR	RevPAR	Δ RevPAR
2019	72.7%	-1.1%	\$100.50	-0.2%	\$73.08	-1.3%
2020	47.8%	-34.2%	\$79.14	-21.3%	\$37.86	-48.2%
2021	61.5%	28.6%	\$89.11	12.6%	\$54.82	44.8%
2022	68.7%	11.6%	\$112.69	26.5%	\$77.37	41.1%
2023	73.5%	7.0%	\$113.07	0.3%	\$83.08	7.4%
2023 YTD	74.7%	5.3%	\$117.18	1.8%	\$87.49	7.2%
2024 YTD	76.3%	2.3%	\$116.22	-0.8%	\$88.73	1.4%

Source: Kalibri Labs, Q3 2024

Submarket Penetration vs. Market Total

Year	Occ	ADR	RevPAR
2019	98.1%	62.8%	61.7%
2020	132.7%	74.0%	98.2%
2021	116.9%	73.5%	85.9%
2022	101.2%	68.8%	69.7%
2023	105.3%	65.9%	69.3%
2023 YTD	104.2%	66.3%	69.1%
2024 YTD	102.2%	63.8%	65.2%

Source: Kalibri Labs, Q3 2024

Upper-Priced Hotels Performance (Data Not Available)

Year	Occ	Δ Occ	ADR	Δ ADR	RevPAR	Δ RevPAR
2019	Insufficient Upper-Priced Data					
2020						
2021						
2022						
2023						
2023 YTD						
2024 YTD						

Source: Kalibri Labs, Q3 2024

Top Brands

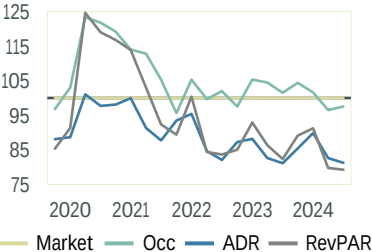
Embassy Suites (240 rms)
Silver Cloud (70 rms)

Mid-Priced Hotels Performance

Year	Occ	Δ Occ	ADR	Δ ADR	RevPAR	Δ RevPAR
2019	77.6%	-2.6%	\$126.58	0.2%	\$98.20	-2.4%
2020	41.9%	-46.0%	\$100.73	-20.4%	\$42.17	-57.1%
2021	58.8%	40.5%	\$107.72	6.9%	\$63.35	50.2%
2022	71.8%	22.1%	\$133.98	24.4%	\$96.24	51.9%
2023	74.2%	3.2%	\$136.19	1.6%	\$100.99	4.9%
2023 YTD	76.3%	2.5%	\$139.92	2.6%	\$106.77	5.1%
2024 YTD	74.1%	-2.9%	\$143.73	2.7%	\$106.55	-0.2%

Source: Kalibri Labs, Q3 2024

Mid-Priced Penetration of Market



Top Brands

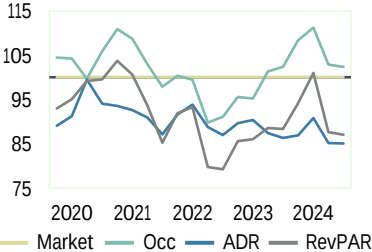
Hilton Garden Inn (256 rms)
Holiday Inn Express (179 rms)
La Quinta Inn (174 rms)
Homewood Suites (170 rms)
Courtyard (164 rms)

Lower-Priced Hotels Performance

Year	Occ	Δ Occ	ADR	Δ ADR	RevPAR	Δ RevPAR
2019	68.0%	0.4%	\$71.53	-1.3%	\$48.63	-0.9%
2020	54.3%	-20.2%	\$61.27	-14.4%	\$33.24	-31.7%
2021	64.6%	19.0%	\$70.04	14.3%	\$45.22	36.0%
2022	65.1%	0.8%	\$86.18	23.0%	\$56.09	24.0%
2023	72.6%	11.5%	\$81.76	-5.1%	\$59.35	5.8%
2023 YTD	72.5%	8.4%	\$85.63	-3.3%	\$62.08	4.8%
2024 YTD	79.3%	9.4%	\$81.62	-4.7%	\$64.75	4.3%

Source: Kalibri Labs, Q3 2024

Lower-Priced Penetration of Market



Top Brands

Extended Stay America (408 rms)
Motel 6 (216 rms)
Best Western (142 rms)
Studio 6 (119 rms)
Quality Inn & Suites (82 rms)

Lynnwood/Mukilteo Construction Pipeline

Project Phase	Upper-Priced			Mid-Priced			Lower-Priced			Unclassified/Independent		
	Props	Rms	%SubMkt	Props	Rms	%SubMkt	Props	Rms	%SubMkt	Props	Rms	%SubMkt
Planning	0	0	0.0%	1	202	6.3%	0	0	0.0%	1	15	0.5%
Final Planning/Bidding	0	0	0.0%	2	164	5.1%	0	0	0.0%	0	0	0.0%
Underway	0	0	0.0%	0	0	0.0%	0	0	0.0%	0	0	0.0%
Total	0	0	0.0%	3	366	11.4%	0	0	0.0%	1	15	0.5%

Source: Dodge, CBRE Hotels Research, Q3 2024

Submarket Profile - Bellevue/Kirkland

Submarket Room Supply: 10,096

Submarket Rank*

1 out of 7

*Based on RevPAR change over the last 4 quarters.

RevPAR Penetration

101%

Trailing 4 Quarters



- Upper-Priced, 32%
- Mid-Priced, 52%
- Lower-Priced, 16%

Submarket Performance

Year	Occ	Δ Occ	ADR	Δ ADR	RevPAR	Δ RevPAR
2019	68.9%	-0.4%	\$169.79	-1.2%	\$117.07	-1.6%
2020	32.3%	-53.2%	\$116.51	-31.4%	\$37.57	-67.9%
2021	48.6%	50.6%	\$120.13	3.1%	\$58.36	55.3%
2022	62.7%	29.2%	\$175.75	46.3%	\$110.27	89.0%
2023	64.1%	2.2%	\$179.15	1.9%	\$114.84	4.1%
2023 YTD	65.4%	0.4%	\$181.89	2.0%	\$118.96	2.4%
2024 YTD	70.7%	8.1%	\$193.67	6.5%	\$136.97	15.1%

Source: Kalibri Labs, Q3 2024

Submarket Penetration vs. Market Total

Year	Occ	ADR	RevPAR
2019	93.0%	106.2%	98.8%
2020	89.4%	108.9%	97.4%
2021	92.3%	99.1%	91.5%
2022	92.5%	107.4%	99.3%
2023	91.9%	104.3%	95.8%
2023 YTD	91.3%	103.0%	94.0%
2024 YTD	94.7%	106.3%	100.7%

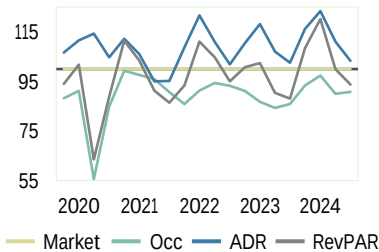
Source: Kalibri Labs, Q3 2024

Upper-Priced Hotels Performance

Year	Occ	Δ Occ	ADR	Δ ADR	RevPAR	Δ RevPAR
2019	70.2%	-1.1%	\$214.45	-2.5%	\$150.55	-3.6%
2020	22.5%	-67.9%	\$178.29	-16.9%	\$40.13	-73.3%
2021	38.2%	69.5%	\$166.48	-6.6%	\$63.53	58.3%
2022	57.9%	51.9%	\$238.36	43.2%	\$138.13	117.4%
2023	58.3%	0.5%	\$254.27	6.7%	\$148.12	7.2%
2023 YTD	58.4%	-1.9%	\$255.43	6.3%	\$149.18	4.3%
2024 YTD	67.9%	16.2%	\$268.38	5.1%	\$182.18	22.1%

Source: Kalibri Labs, Q3 2024

Upper-Priced Penetration of Market



Top Brands

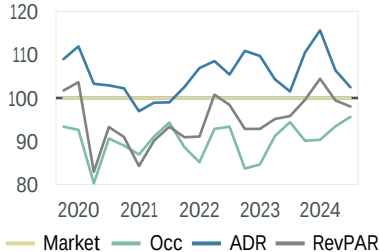
Hyatt (732 rms)
 Marriott (648 rms)
 Hilton (338 rms)
 Westin (337 rms)
 W Hotel (245 rms)

Mid-Priced Hotels Performance

Year	Occ	Δ Occ	ADR	Δ ADR	RevPAR	Δ RevPAR
2019	70.5%	1.2%	\$162.30	0.0%	\$114.34	1.2%
2020	32.7%	-53.5%	\$115.83	-28.6%	\$37.91	-66.8%
2021	50.2%	53.4%	\$118.14	2.0%	\$59.33	56.5%
2022	63.6%	26.6%	\$168.87	42.9%	\$107.35	80.9%
2023	64.6%	1.7%	\$172.63	2.2%	\$111.60	4.0%
2023 YTD	66.7%	0.4%	\$176.34	2.9%	\$117.66	3.3%
2024 YTD	70.4%	5.5%	\$184.15	4.4%	\$129.64	10.2%

Source: Kalibri Labs, Q3 2024

Mid-Priced Penetration of Market



Top Brands

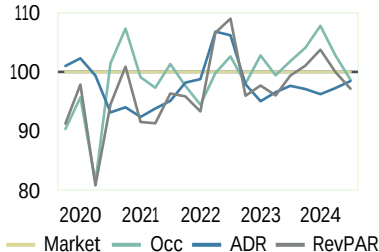
Hilton Garden Inn (738 rms)
 Residence Inn (651 rms)
 Courtyard (403 rms)
 Hampton Inn (360 rms)
 Hyatt House (309 rms)

Lower-Priced Hotels Performance

Year	Occ	Δ Occ	ADR	Δ ADR	RevPAR	Δ RevPAR
2019	62.2%	-4.1%	\$90.09	-3.3%	\$56.00	-7.3%
2020	50.1%	-19.4%	\$63.07	-30.0%	\$31.59	-43.6%
2021	62.6%	24.9%	\$74.36	17.9%	\$46.53	47.3%
2022	68.8%	10.0%	\$100.81	35.6%	\$69.40	49.1%
2023	72.8%	5.7%	\$90.44	-10.3%	\$65.83	-5.1%
2023 YTD	73.7%	3.3%	\$94.29	-10.4%	\$69.53	-7.5%
2024 YTD	77.5%	5.1%	\$91.48	-3.0%	\$70.89	2.0%

Source: Kalibri Labs, Q3 2024

Lower-Priced Penetration of Market



Top Brands

Extended Stay America (537 rms)
 Motel 6 (226 rms)
 Extended Stay Premier Suites (148 rms)
 Woodspring Suites (121 rms)
 Quality Inn (106 rms)

Bellevue/Kirkland Construction Pipeline

Project Phase	Upper-Priced			Mid-Priced			Lower-Priced			Unclassified/Independent		
	Props	Rms	%SubMkt	Props	Rms	%SubMkt	Props	Rms	%SubMkt	Props	Rms	%SubMkt
Planning	1	121	1.2%	2	327	3.2%	2	205	2.0%	2	300	3.0%
Final Planning/Bidding	0	0	0.0%	1	195	1.9%	0	0	0.0%	0	0	0.0%
Underway	1	165	1.6%	2	433	4.3%	0	0	0.0%	0	0	0.0%
Total	2	286	2.8%	5	955	9.5%	2	205	2.0%	2	300	3.0%

Source: Dodge, CBRE Hotels Research, Q3 2024

Submarket Profile - Seattle West/North

Submarket Rank*

6 out of 7

*Based on RevPAR change over the last 4 quarters.

RevPAR Penetration

69%

Trailing 4 Quarters

Submarket Room Supply: 2,149



- Upper-Priced, 5%
- Mid-Priced, 41%
- Lower-Priced, 54%

Submarket Performance

Year	Occ	Δ Occ	ADR	Δ ADR	RevPAR	Δ RevPAR
2019	72.2%	1.9%	\$103.48	-0.4%	\$74.68	1.5%
2020	52.1%	-27.9%	\$89.53	-13.5%	\$46.60	-37.6%
2021	61.9%	18.9%	\$103.42	15.5%	\$64.00	37.3%
2022	72.8%	17.6%	\$119.84	15.9%	\$87.22	36.3%
2023	71.0%	-2.5%	\$122.16	1.9%	\$86.69	-0.6%
2023 YTD	72.9%	-2.6%	\$125.71	3.2%	\$91.63	0.5%
2024 YTD	73.6%	1.0%	\$126.66	0.8%	\$93.24	1.8%

Source: Kalibri Labs, Q3 2024

Submarket Penetration vs. Market Total

Year	Occ	ADR	RevPAR
2019	97.4%	64.7%	63.0%
2020	144.4%	83.7%	120.8%
2021	117.6%	85.3%	100.3%
2022	107.3%	73.2%	78.5%
2023	101.7%	71.1%	72.3%
2023 YTD	101.8%	71.1%	72.4%
2024 YTD	98.6%	69.5%	68.5%

Source: Kalibri Labs, Q3 2024

Upper-Priced Hotels Performance (Data Not Available)

Year	Occ	Δ Occ	ADR	Δ ADR	RevPAR	Δ RevPAR
2019	Insufficient Upper-Priced Data					
2020						
2021						
2022						
2023						
2023 YTD						
2024 YTD						

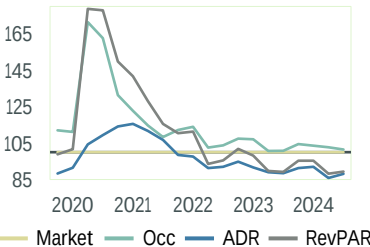
Source: Kalibri Labs, Q3 2024

Mid-Priced Hotels Performance

Year	Occ	Δ Occ	ADR	Δ ADR	RevPAR	Δ RevPAR
2019	77.7%	3.7%	\$127.36	1.2%	\$98.90	4.9%
2020	50.4%	-35.1%	\$108.93	-14.5%	\$54.87	-44.5%
2021	62.9%	24.9%	\$125.63	15.3%	\$79.01	44.0%
2022	75.7%	20.4%	\$144.77	15.2%	\$109.58	38.7%
2023	73.6%	-2.8%	\$145.86	0.7%	\$107.31	-2.1%
2023 YTD	75.5%	-2.4%	\$150.01	1.8%	\$113.28	-0.6%
2024 YTD	77.3%	2.4%	\$151.56	1.0%	\$117.14	3.4%

Source: Kalibri Labs, Q3 2024

Mid-Priced Penetration of Market



Top Brands

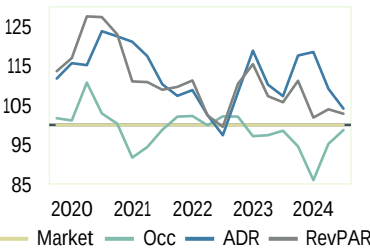
- Fairfield Inn (233 rms)
- Best Western Plus (231 rms)
- Hampton Inn (105 rms)
- Comfort Inn (63 rms)

Lower-Priced Hotels Performance

Year	Occ	Δ Occ	ADR	Δ ADR	RevPAR	Δ RevPAR
2019	69.2%	1.1%	\$89.00	-1.1%	\$61.60	0.0%
2020	53.1%	-23.2%	\$77.80	-12.6%	\$41.33	-32.9%
2021	61.2%	15.3%	\$88.59	13.9%	\$54.25	31.3%
2022	70.6%	15.3%	\$99.91	12.8%	\$70.54	30.0%
2023	69.2%	-1.9%	\$105.42	5.5%	\$72.99	3.5%
2023 YTD	71.1%	-2.4%	\$108.56	6.9%	\$77.24	4.4%
2024 YTD	70.6%	-0.8%	\$104.29	-3.9%	\$73.64	-4.7%

Source: Kalibri Labs, Q3 2024

Lower-Priced Penetration of Market



Top Brands

- Quality Inn & Suites (209 rms)
- Baymont (155 rms)
- Candlewood Suites (80 rms)
- Super 8 (75 rms)
- Motel 6 (66 rms)

Seattle West/North Construction Pipeline

Project Phase	Upper-Priced			Mid-Priced			Lower-Priced			Unclassified/Independent		
	Props	Rms	%SubMkt	Props	Rms	%SubMkt	Props	Rms	%SubMkt	Props	Rms	%SubMkt
Planning	1	40	1.9%	1	102	4.7%	0	0	0.0%	1	87	4.0%
Final Planning/Bidding	0	0	0.0%	0	0	0.0%	0	0	0.0%	0	0	0.0%
Underway	0	0	0.0%	0	0	0.0%	0	0	0.0%	0	0	0.0%
Total	1	40	1.9%	1	102	4.7%	0	0	0.0%	1	87	4.0%

Source: Dodge, CBRE Hotels Research, Q3 2024

Market Segments - Representative Brands

Upper-Priced Brands		Mid-Priced Brands		Lower-Priced Brands	
Ritz-Carlton	Embassy Suites	Courtyard by Marriott	Best Western Plus	Best Western	Extended Stay America
InterContinental	Hilton	Crowne Plaza	Comfort Inn	Candlewood Suites	Motel 6
Loews	Hyatt	Hyatt Place	Hampton Inn	Baymont	Days Inn
Fairmont	Marriott	Hilton Garden Inn	Holiday Inn	Sleep Inn	Red Roof Inn
Grand Hyatt	Westin	Residence Inn	La Quinta Inn & Suites	Quality Inn	InTown Suites

Exhibit Descriptions

Exhibits 1 - 4	Year-over-year change in Income, Employment, RevPAR and Demand, displayed as annual (Exhibits 1 and 2) and quarterly (Exhibits 3 and 4).
Exhibit 5	Average annual Employment, Consumer Price Index, Gross Domestic Product, and Real Personal Income change for the market.
Exhibits 6 - 8	Index based change charts with base year 2019 = 100, illustrating the magnitude of change.
Exhibits 9 - 11	Compound average annual RevPAR, Demand and Supply change for Upper Priced, Mid-Priced, Lower Priced, and combined (All) hotels within the market.

Financial Benchmarks

The financial benchmarks presented in this report are based on data from CBRE Hotels Research’s monthly analysis of hotel operating statements from 2,550 properties located across the nation.

How We Forecast

CBRE Hotels Research prepares hotel market forecasts taking into consideration traditional demand drivers such as:

- Change in GDP
- Change in employment
- Convention bookings
- Change in supply
- Fundamental trends in adjacent industries

Forecasts of ADR growth consider factors such as:

- Change in GDP
- Change in wages
- Change in CPI
- Change in supply
- Current demand
- Anticipated customer mix
- The overall strength of the consumer

Following the analysis and consideration of current and future macroeconomic outlooks, trends, and business fundamentals, the forecasts then undergo a judgmental review of modeled outputs by our national practice leaders and market professionals before being finalized.

Kalibri Labs Terminology

Full list of definitions available at <https://pip.cbrehotels.com/about-us/kalibri-faqs>

Guest-Paid ADR	Average daily rate based on the total room revenue paid by guests, inclusive of all transaction-specific direct reservation costs. Guest-paid ADR is higher than traditional hotel-reported ADR because it's calculated using the room revenue paid by customers to hotels and intermediaries, inclusive of the wholesale commissions for intermediated stays, not listed in P&L statements.
Guest-Paid RevPAR	Revenue per available room based on the total room revenue paid by guests, inclusive of all transaction-specific direct reservation costs. Guest-paid RevPAR is higher than traditional hotel-reported RevPAR because it's calculated using the room revenue paid by customers to hotels and intermediaries, inclusive of the wholesale commissions for intermediated stays that are not listed in a P&L statement.
Hotel-Collected ADR	Average daily rate based on the total room revenue reported by hotels. It includes all booking costs, and it excludes all the wholesale commissions for intermediated stays, not listed in P&L statements.
Hotel-Collected RevPAR	Revenue per available room based on the total room revenue reported by hotels, inclusive of all transaction-specific direct reservation costs, except wholesale commissions for intermediated stays that not listed in P&L statements.
Reservations	A stay at a hotel by a guest equivalent to number of check-ins. Each reservation can span multiple nights based on a guest's length of stay. Demand divided by reservations equals length-of-stay.
Length of Stay	Average number of actualized room nights per booking.
Source of Business	Segmentation of hotel demand that associates each stay with a specific source, depending on how the stay was booked. Kalibri Labs differentiates sources of business from the primary booking channels ("Brand.com," "Voice," "Property Direct," "OTA," and "GDS") by adding categories for "Group," "FIT/Wholesale" and "Internal Discounts" in order to provide more clarity into those business types.

Kalibri Labs Terminology - Sources of Business

Brand.com	Transient bookings sold via property or brand's website. Some of the costs associated with brand.com bookings include channel fees, metasearch/referral commissions, and loyalty fees.
Property Direct	Transient bookings sold directly by property.
Voice	Transient bookings sold via call centers. Some of the costs associated with voice bookings are channel/transaction fees and loyalty fees.
Internal Discounts	Complimentary, barter, employee/owner rates, friends & family, house use, loyalty program redemption, and permanent rooms. Kalibri Labs separates these rate categories out to exclude artificially low revenue business for a more accurate picture of regular bookings performance in the other sources of business.
GDS	Transient bookings sold via global distribution systems. It excludes OTA bookings powered by a GDS. Some of the costs associated with GDS bookings include retail commissions, pass-through fees, and loyalty fees.
FIT/Wholesale	Transient bookings sold via wholesalers. Some of the costs associated with FIT/Wholesale bookings include channel fees and wholesale commissions.
OTA	Transient bookings sold by an online travel agent, inclusive of all agency models (net/merchant, retail, and opaque). This includes all OTA bookings, regardless of the channel they come from (direct connect or GDS). Some of the costs associated with OTA bookings include retail commissions, wholesale commissions, and transaction fees.
Group	Room nights associated with multiple guests and guestrooms under the same booking, and have a group specified rate. Most of the costs associated with Group bookings are retail commissions and channel fees. Group commissions are estimated for markets and brands where it is not provided.

Forecasting and Budgeting Considerations

Like all forecasting methodologies, CBRE Hotels Research's forecasts of future hotel performance are based on historical data and CBRE's expectations for economic growth.

CBRE EA's current macroeconomic baseline assumptions are as follows:

CBRE EA BASELINE FORECAST							
	2020	2021	2022	2023	2024	2025	2026
GDP, %	(2.2)	6.1	2.5	2.9	2.6	1.7	1.8
Employment, %	(7.0)	4.8	2.7	1.5	1.4	0.9	1.0
CPI, %	1.2	6.8	7.1	3.2	2.6	2.3	2.1
10-yr Treasury, %	0.9	1.5	3.8	4.4	3.8	3.5	3.3

Note: GDP is annual average growth rate, Employment and CPI are Q4 y-o-y growth numbers, and 10-year Treasury is the Q4 reading for each year. Employment is market-level.
Source: BEA, BLS, Federal Reserve, CBRE Econometric Advisors, Q3 2024.

- 1. CBRE's baseline-scenario forecasts do not contemplate an international war, a pervasive recession, or a more acute COVID variant.
- 2. In addition to our Baseline scenario, CBRE Hotels Research provides upside case, downside case, and severe downside case scenarios.
- 3. CBRE does not probability weigh the scenario analyses, and instead allows each client to probability weigh the scenarios based on their own in-house geopolitical and macro-economic outlook.
- 4. The complete set of scenarios and 10-year projections can be found by using the scenario dropdown on the forecast dashboard, found here: <https://pip.cbrehotels.com/property-analytics/hotel-horizons/marketdata>. CBRE Hotels Research suggests you stress test your assumptions, forecasts and underwriting under all four scenarios to understand a more complete range of outcomes.

Other considerations:

Specific portfolios can perform differently than the broader market based on asset type (resort, extended stay, convention, etc.), price point, age, quality (freshness), GRI score, brand, location type (interstate, airport, downtown, suburban, small town, etc.), and the quality of the operator or asset management team.

CBRE's forecasts represent just one set of estimates in the marketplace and should be considered within a broader context and checked for outliers.

We offer custom forecasting for a tailored or custom set of forecasts for a particular set of macroeconomic expectations, asset types, location types, or chain scale mix. Contact our client services team at websales@cbre.com to learn more.

Glossary of Terms

ADR	Average Daily Rate - rooms revenue divided by paid rooms occupied.
Occupancy	Paid rooms occupied divided by available rooms.
RevPAR	Revenue per Available Room - rooms revenue divided by available rooms.
Supply	Average daily room nights available per quarter, represented as a change over previous year, same quarter except where noted annually.
Demand	(Accommodated Demand) Average daily room nights occupied per quarter, represented as a change over previous year, same quarter except where noted annually.
LRA	Long Run Average - Annual average from 2000 to last complete year end.
Penetration	Market area (or sub-market area) measurement as a percent of national (or market area) measurement.

For more information about this market please contact:
Alan Jutte at alan.jutte@cbre.com

CBRE Hotels Leadership

Bill Grice
President
CBRE Hotels, Americas
bill.grice@cbre.com

Tommy Crozier, MAI, CRE, CCIM
National Practice Leader
Head of Hotels Valuation & Advisory
U.S.
tommy.crozier@cbre.com

CBRE Hotels Research

Rachael Rothman, CFA, ISHC
Head of Hotels Research &
Data Analytics
rachael.rothman@cbre.com

Michael Nhu
Economist, Global Hotels Forecast
michael.nhu@cbre.com

CBRE Hotels Valuation & Advisory Divisional Leadership

Michael Cummings, MAI, ISHC
East Division & Caribbean
Norfolk, VA
michael.cummings@cbre.com

Kannan Sankaran
Northeast Division
Washington, D.C.
kannan.sankaran@cbre.com

Andrew Hartley
Northeast Division
New York, NY
andrew.hartley@cbre.com

Edward R. Eschmann, MAI, MRICS
Northeast Division
New York, NY
edward.eschmann@cbre.com

Kevin M. Donahue, MAI
South-Central Division
Austin, TX
kevin.donahue@cbre.com

Richard S. Mandigo
Midwest Division
Chicago, IL
richard.mandigo@cbre.com

Mark E. Letscher, MAI, SGA
Midwest Division
Chicago, IL
mark.letscher@cbre.com

Scott L. Webb, MAI
South Florida & Caribbean
Boca Raton, FL
scott.webb@cbre.com

Brandon J. Feighner
West Division
Los Angeles, CA
brandon.feighner@cbre.com

Mike Baker
West Division
Los Angeles, CA
mike.baker@cbre.com

Alan M. Jutte
West Division
Seattle, WA
alan.jutte@cbre.com

Dan Beverly, MAI
West Division
Newport Beach, CA
dan.beverly@cbre.com

Justin Schlageter, MAI
West Division
Sacramento, CA
justin.schlageter@cbre.com

For more reports visit our store at
<https://pip.cbrehotels.com>